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June 11, 1996

To: Members of the Executive Board

From: The Associate Secretary

Subject: Senegal - Staff Report for the 1996 Article IV Consultation
and Midterm Review Under the Second Annual Arrangement Under
the Enhanced Structural Adjustment Facility

Attached for consideration by the Executive Directors is the staff report for the 1996 Article IV consultation with Senegal and the midterm review under the second annual arrangement under the enhanced structural adjustment facility, which is tentatively scheduled for discussion on Friday, June 28, 1996. A draft decision appears on page 12.

Mr. Tahari (ext. 36682), Mr. De Vrijer (ext. 36259), or Ms. Fouad (ext. 34157) is available to answer technical or factual questions relating to this paper prior to the Board discussion.

Unless the Documents Preparation Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the African Development Bank (AfDB), the European Commission (EC), the Islamic Development Bank (IsDB), and the WTO Secretariat, following its consideration by the Executive Board.

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SENEGAL

Staff Report for the 1996 Article IV Consultation
and Midterm Review Under the Second Annual Arrangement
Under the Enhanced Structural Adjustment Facility

Prepared by the African Department

(In consultation with the Fiscal Affairs, Legal,
Monetary and Exchange Affairs, Policy Development and Review,
Statistics, and Treasurer's Departments)

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June 10, 1996

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Executive Summary

Recent developments

- Developments in 1995 and early 1996 point to broadly satisfactory implementation of the second annual ESAF-supported program.
- The quantitative and structural benchmarks for end-December 1995 were observed, except for the benchmark on government revenue, owing largely to delays in privatization. All performance criteria and benchmarks for end-March 1996 were met.
- The overall fiscal deficit has narrowed as a result of continued efforts to improve tax revenue collection and to maintain restraint in public spending. All external and verified domestic payments arrears were eliminated by end-1995. On the structural front, most measures planned for 1995 and early 1996 were implemented.
- Real GDP growth exceeded the target in 1995 and inflation declined sharply, in line with expectations. Exports continued to expand strongly, while imports grew moderately, resulting in a narrowing of the external current account deficit.
- Senegal recently accepted the obligations of Article VIII, Sections 2, 3, and 4 of the Fund's Articles of Agreement.

Senegal: Selected Economic and Financial Indicators, 1993-98

	1993	1994	1995		1996		1997	1998
			Rev.	Prel.	Prog.	Proj.	Projections	
			prog.					
			<u>(Annual percentage change)</u>					
Real GDP	-2.1	2.0	4.5	4.8	4.5	4.5	4.5	4.5
CPI (annual average)	-0.7	32.1	8.0	8.1	2.7	2.7	2.5	2.5
Broad money	-12.6	37.8	17.8	7.6	12.3	11.0	7.2	4.4
			<u>(In percent of GDP)</u>					
Overall fiscal balance (excluding grants)	-4.0	-5.7	-3.3	-3.2	-2.0	-2.1	-0.7	--
External current account balance (excluding official transfers)	-10.3	-9.3	-8.0	-8.0	-7.3	-7.3	-6.4	-5.9
Outstanding domestic and external payments arrears	8.5	2.8	--	--	--	--	--	--

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

The program for 1996

- The program aims at achieving real GDP growth of at least 4.5 percent in 1996, lowering inflation to less than 3 percent, and reducing the external current account deficit (excluding official transfers) to 7.3 percent of GDP.

- Fiscal consolidation remains a key element of the program. To this end, particular attention is being given to improving government revenue collection further and maintaining restraint in public spending, particularly with regard to the wage bill. Regional credit policy will be prudent, and efforts will continue to make more effective use of indirect instruments of monetary policy.

- Structural reforms are to be accelerated, especially in the areas of modernization of the legal and regulatory framework and public enterprise restructuring and privatization.

Issues stressed in the staff appraisal

- The need to consolidate further the fiscal position through continued restraint in government spending and improved revenue performance.

- The importance of pursuing a prudent credit policy and deepening financial intermediation.

- The need to accelerate the next phase of structural reforms, in particular to promote private sector development.

- The importance for the authorities of avoiding any policy slippages and standing ready to take any measures that may be required to keep the program on track.

I. Introduction

The discussions for the 1996 Article IV consultation and the midterm review of the program supported by the second annual arrangement under the enhanced structural adjustment facility (ESAF) for Senegal were held in Dakar during the period May 2-16, 1996. ^{1/} The attached letter from the Minister of Economy, Finance, and Planning of Senegal, dated May 15, 1996 (Appendix II), reviews the progress made by Senegal in 1995 and early 1996, and sets out the policies and measures to be implemented in the remainder of 1996.

The three-year ESAF arrangement for Senegal, in an amount equivalent to SDR 130.8 million (110 percent of quota), was approved on August 29, 1994, together with the first annual arrangement thereunder, in an amount equivalent to SDR 47.6 million (40 percent of quota). On December 11, 1995, the Executive Board approved the second annual ESAF arrangement, in an amount equivalent to SDR 47.6 million (40 percent of quota). The two semiannual disbursements provided under the first annual arrangement, as well as the first semiannual disbursement (SDR 23.8 million) under the second annual arrangement, were effected. Availability of the second semiannual installment under the latter is contingent upon the observance of the performance criteria for end-March 1996 and completion of the midterm review.

As of end-March 1996, Senegal's outstanding use of Fund resources amounted to SDR 230.3 million (193.7 percent of quota). If all the disbursements under the ESAF arrangements and all repurchases and loan repayments are made as scheduled, Senegal's use of Fund resources would amount to SDR 241.2 million (202.9 percent of quota) by end-June 1997 (Appendix I, Table 1).

Senegal is on the standard 12-month consultation cycle. In concluding the last Article IV consultation on June 9, 1995, Directors urged the authorities to persevere with, and intensify, their adjustment and reform efforts, in view of Senegal's still fragile economic situation.

The World Bank has been supporting Senegal's development efforts through structural and sectoral adjustment lending, including a private

^{1/} The Senegalese representatives included Mr. Sakho, the Minister of Economy, Finance, and Planning; Mr. Loum, the Minister Delegate in charge of the Budget; Mr. Ndiaye, the Acting National Director of the Central Bank of West African States (BCEAO); and other senior government officials. President Diouf and Prime Minister Thiam also received members of the mission. The staff representatives were Mr. Tahari (head), Mr. Peroz, Mr. De Vrijer, Ms. Fouad, Mr. Lewis, and Ms. Wein (administrative assistant), all AFR. Mr. Thiam, the Fund's resident representative in Dakar, assisted the mission. Mr. Konan, Advisor to the Executive Director for Senegal, participated in some of the discussions.

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sector adjustment and competitiveness credit (SDR 27.6 million) and an agricultural sector adjustment credit (SDR 29 million) approved in 1995. Senegal's relations with the Fund and the World Bank Group are summarized in Appendices III and IV, respectively.

Senegal's economic data base is comprehensive, but there are weaknesses, notably in the areas of national income accounting, the balance of payments, and consumer price index (CPI) data. Technical assistance is being provided by INSEE/EUROSTAT to improve the CPI compilation. In addition, STA is implementing a balance of payments technical assistance project for the member countries of the Central Bank of West African States (BCEAO) through the posting of a long-term advisor at BCEAO headquarters in Dakar. The authorities have been regularly providing the core minimum data to the Fund (Appendix V). The weaknesses in the data base do not, however, hamper or impede a meaningful assessment of economic developments and policies.

II. Background and Recent Developments

Building upon the progress made since the January 1994 devaluation of the CFA franc, Senegal's program for 1995-96 seeks to strengthen financial policies to ensure attainment of financial viability over the medium term, and to deepen structural reforms to promote private sector development and durable economic growth (Box 1).

Box 1. Main Objectives of the 1995-96 Program

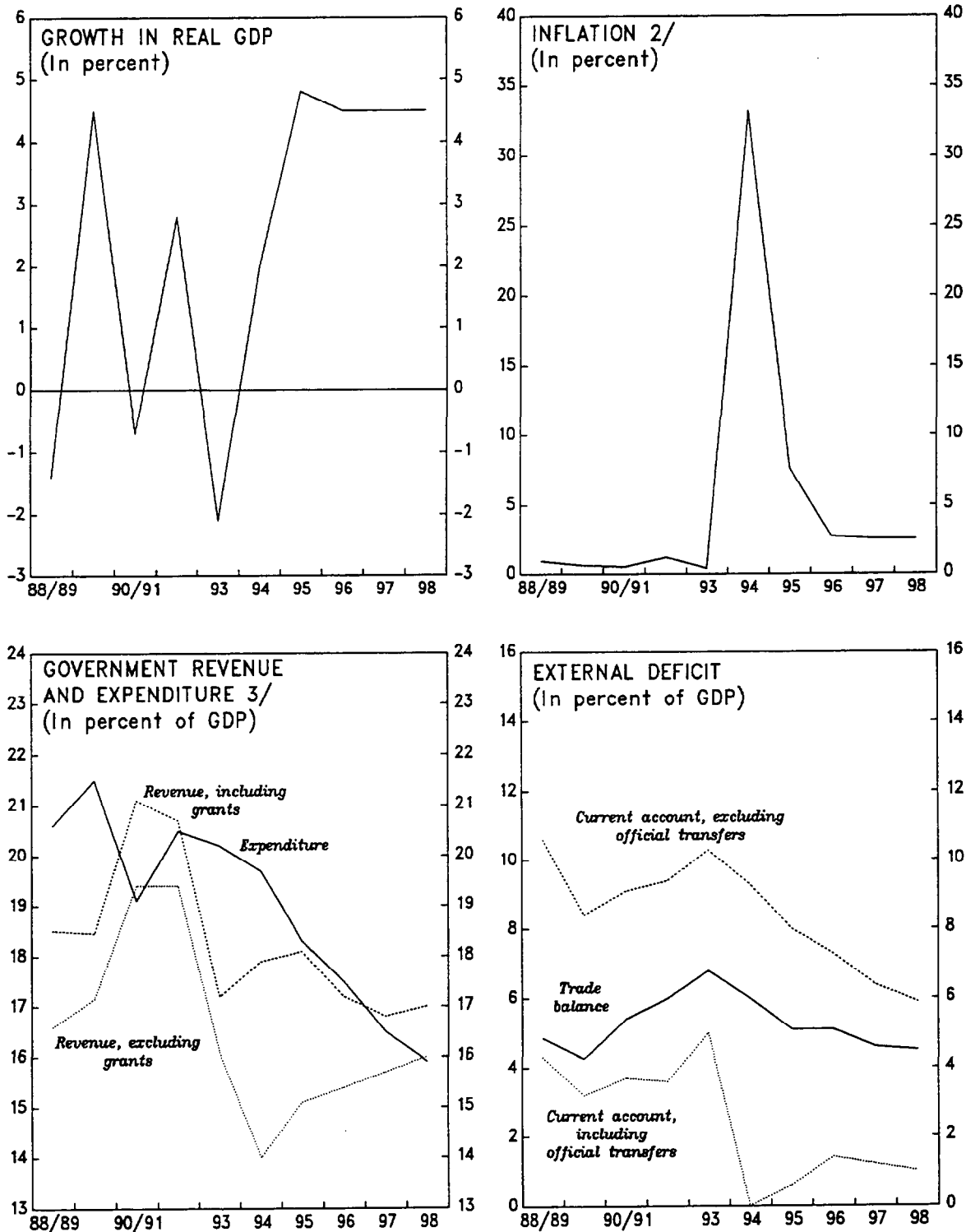
The 1995-96 program aims at achieving an annual real GDP growth rate of 4.5 percent; lowering inflation, as measured by changes in the GDP deflator, to about 8 percent in 1995 and to less than 3 percent in 1996; and reducing the external current account deficit, excluding official transfers, to 8 percent of GDP in 1995 and to 7.3 percent in 1996. The program seeks to increase investment from less than 14 percent of GDP in 1994 to nearly 17 percent in 1996, with domestic savings rising by more than 4 percentage points to about 12 percent of GDP in 1996, as the consolidation of the fiscal position continues and private sector savings respond to the ongoing liberalization of the economy and the improved competitiveness.

Overall, developments through March 1996 point to encouraging progress and broadly satisfactory implementation of the program. The quantitative and structural benchmarks for end-December 1995 were observed, except for the benchmark on government revenue, owing largely to delays in privatization (Appendix II, Table I). All the quantitative and structural performance criteria and benchmarks for end-March 1996 were met as well. Real GDP growth in 1995 is estimated to have reached 4.8 percent, higher than targeted (Appendix I, Table 2; and Chart 1), as economic activity continued to pick up in the construction and export-oriented sectors. The increase in the average CPI for Dakar fell from 32 percent in 1994 to

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CHART 1

SENEGAL
MAIN ECONOMIC INDICATORS, 1988/89-1998 1/



Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

1/ Fiscal year ending June through 1991/92; calendar year starting 1993.

2/ Percentage change in GDP deflator.

3/ Central Government, on a commitment basis.

8 percent in 1995, in line with expectations, and to 3 percent on an end-of-period basis for the 12 months ended in April 1996.

After declining by 35 percent in 1994, the CPI-based real effective exchange rate is estimated to have risen by about 8 percent in 1995 (Chart 2). Senegal's restored competitiveness continued to support a strong expansion of exports, in particular of fish, groundnuts, and chemical products. Following a decline in 1994, imports increased moderately in 1995, with a shift in their composition from consumption goods to intermediate and capital goods. As a result, the external current account deficit, excluding official transfers, is estimated to have narrowed from 9.3 percent of GDP in 1994 to 8 percent in 1995. Total external budgetary assistance in 1995 was broadly as projected under the program, with a shortfall of disbursements from the World Bank and the European Union being offset by higher-than-expected debt relief from non-Paris Club bilateral creditors. ^{1/}

In the fiscal area, the Government continued its efforts to strengthen public finances, and the overall budget deficit (on a commitment basis and excluding grants) narrowed from 5.7 percent of GDP in 1994 to 3.2 percent in 1995, slightly below the programmed level (Appendix I, Table 3). On the revenue side, the authorities took effective actions to reinforce the tax and customs administrations, combat fraud, and widen the tax base. These actions, together with the pickup in economic activity, caused tax revenues, including customs receipts, to exceed forecasts by some CFAF 5 billion (Appendix I, Table 4). However, in the second half of the year, there was a CFAF 10 billion shortfall in nontax receipts, as lengthy negotiations with a prospective buyer delayed the sale of the Méridien Président hotel. Overall, government revenue remained almost CFAF 5 billion (0.2 percent of GDP) below the program's benchmark for the year as a whole.

Total government spending was kept below program, thanks to restraint in nonpriority outlays and lower-than-projected interest obligations, while the wage bill was kept within the program ceiling of CFAF 157.5 billion (6.5 percent of GDP). Measures were also taken to correct a number of spending overruns that had occurred during the first half of 1995, in particular higher outlays for the social safety net, unanticipated transfers to the price stabilization fund (CPSP), higher appropriations for embassies, and a larger-than-projected deficit in the national retirement fund (FNR). The measures included the elimination of the subsidy on wheat flour, the liquidation of the CPSP, the closure of six embassies, and the recall of

^{1/} There were delays in World Bank disbursements of the programmed tranches (US\$17 million in total) under the transport sector loan and the private sector adjustment and competitiveness credit, owing to the late implementation of some of the associated conditionalities. The second tranche of the private sector adjustment and competitiveness credit (US\$10 million) was released in early 1996. There were also administrative delays in disbursements from the European Union, which took place only in early 1996.

diplomats stationed abroad. To reduce the deficit of the FNR and ensure its financial equilibrium, the authorities implemented a number of cost-cutting measures, and legislation was passed to raise, starting in 1996, the employer's contribution by 5 percentage points (to 20 percent) and the employee's contribution by 3 percentage points (to 15 percent). The 1995 appropriations for social safety net measures were fully utilized to subsidize rice and wheat flour and finance basic health and education services. Investment spending is estimated to have proceeded about as planned, and both the external and verified domestic payments arrears were eliminated in conformity with the program.

Broad money growth decelerated more rapidly than expected, from 38 percent in 1994 to 8 percent in 1995, which reflected a stronger adjustment of cash balances to the decline in inflation than had been foreseen (Appendix I, Tables 5 and 6). 1/ At the same time, there was a reduction in net bank credit to the Government, reflecting the Government's improved cash position. Accordingly, the net domestic assets of the Central Bank remained below the applicable ceiling (after adjustment in accordance with the program provisions). Credit to the economy increased only moderately during 1995, as the much improved cash flow position of enterprises in the tradable goods sector allowed them to repay crop credits almost entirely and to keep recourse to bank loans well below what could be accommodated under the program. As a result, the contribution of Senegal to the net foreign assets position of the BCEAO continued to improve. As inflationary pressures abated, the BCEAO reduced its discount rate from 8.5 percent to 7.5 percent in December 1995, and bank lending rates have started to come down. 2/

On the structural front, most of the measures planned for 1995 and early 1996 were implemented. 3/ In the regulatory area, wheat flour imports and prices were liberalized in November 1995; the rice sector was also fully liberalized, and the CPSP was liquidated in December, ahead of schedule. The export processing zone and points francs were replaced at end-1995 by a new regime for the Entreprises franchises d'exportation, and simplified procedures for temporary imports of inputs used in the production of exports were enacted in December, in line with World Bank recommendations. In the agricultural sector, the groundnut marketing enterprise (SONACOS) was put up for sale to the private sector in November 1995, but the bids received to date have been inadequate. In addition, several savings and loan associations were established in rural areas.

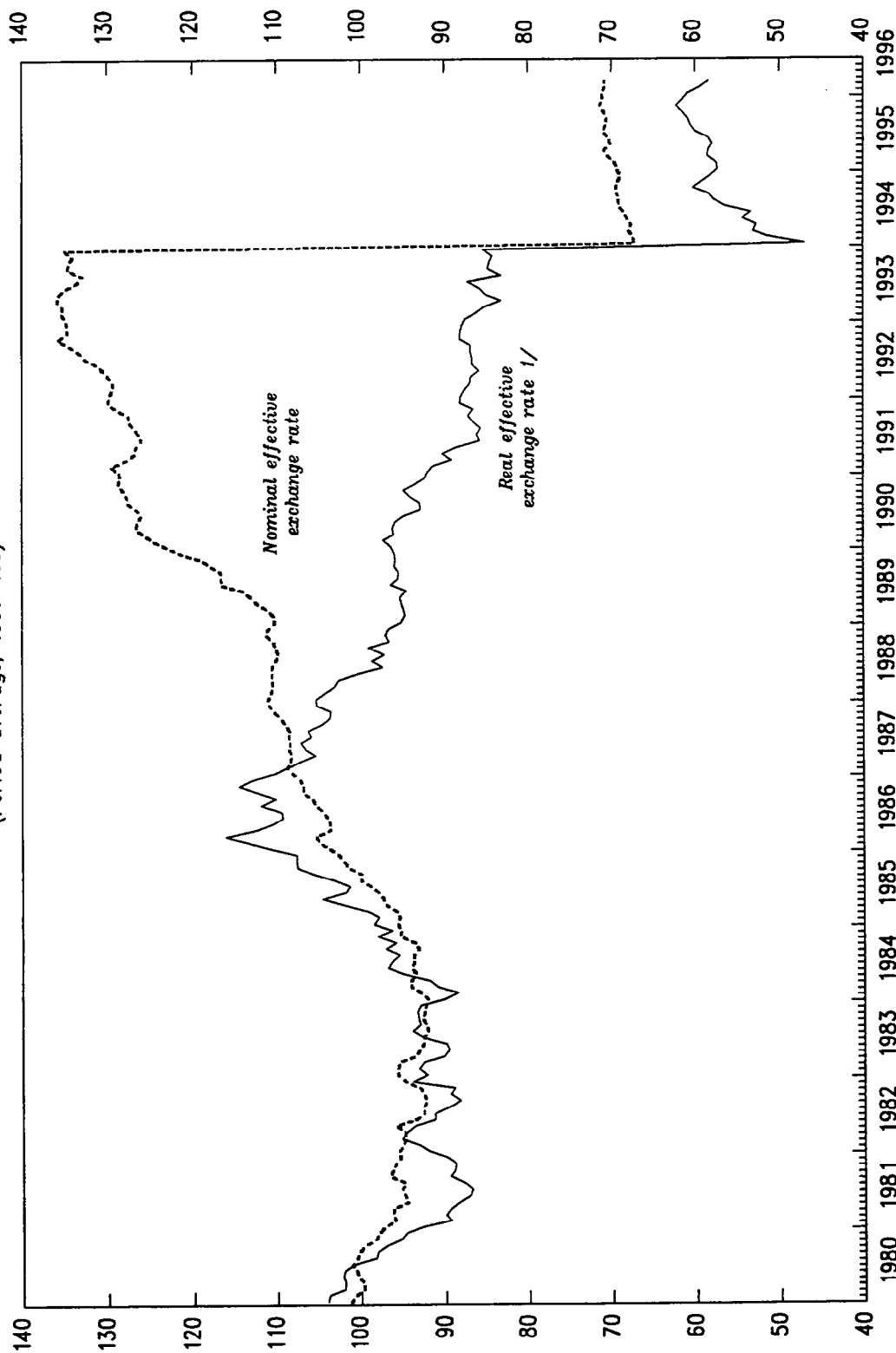
1/ As elsewhere in the West African Economic and Monetary Union (WAEMU), there are uncertainties about the measurement of currency in circulation in Senegal.

2/ The highest lending rate is about 15 percent, and lending rates for prime customers are about 10 percent; all lending and deposit rates are freely determined, except for the passbook savings rate, which was reduced from 4.5 percent to 3.5 percent in April 1996.

3/ See EBS/95/183 (11/20/95).

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CHART 2
SENEGAL
REAL AND NOMINAL EFFECTIVE EXCHANGE RATES
JANUARY 1980-MARCH 1996
(Period average; 1980=100)



Source: IMF, Information Notice System.

1/ Based on relative CPIs.

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Regarding public enterprise reform, the Société industrielle d'assainissement du Sénégal (SIAS) and the Société hôtelière-Saly were liquidated. The management of the water company (SONEES) was privatized, while 16 small hotels were put up for sale and six were effectively sold. In contrast, there have been delays in the sale of the Méridien Président hotel, as well as in the privatization of the Société sénégalaise de phosphates de Thiès (SSPT) and the Société propriétaire de l'hôtel de l'union Teranga (SPHU-Teranga), because of inadequate bids. Most agreements between the State and public enterprises have been signed to settle cross-debts within the public sector. Finally, an updated three-year public investment program for the period 1996-98--giving priority to infrastructure and high-yielding projects, especially in the rural sector--was adopted before the end of the year, in consultation with the World Bank.

On the social front, the situation has calmed down somewhat, following a period of strikes, notably in the education sector, in protest against the increase in FNR contributions. Progress has been slow in resolving the conflict in the southern Casamance region. The next local and regional elections are scheduled for November 1996.

III. Report on the Discussions and the Program for 1996

Against this background, the discussions focused on the effective implementation of all the measures called for by the program supported by the second annual ESAF arrangement, and on the adoption of any measures that might be required to keep the program on track and achieve its objectives. Particular attention was given to improving government revenue collection further; ensuring that spending restraint is maintained at the same time that expenditures are being reallocated to priority areas; and accelerating structural reforms, especially in the public enterprise sector. While noting the social pressures they continue to face, the authorities reiterated their strong commitment to the successful implementation of the program.

The authorities were confident that the initial objectives of the program for 1996 were within reach, given the progress made so far in program implementation, their determination to sustain the reform effort, and their commitment to avoiding policy slippages. The authorities expected that, with a good crop year and the continued expansion of export-oriented activities, real GDP growth would exceed the targeted 4.5 percent in 1996. A reduction in average inflation to 3 percent was also seen as feasible, as all of the post-devaluation corrective inflation had now worked its way through the economy and policies were kept consistent with the exchange rate peg. The external current account deficit, excluding official transfers, is projected to be near the programmed level of 7.3 percent of GDP, reflecting continued strong export growth and a moderate rise in imports.

1. Financial policies

The main focus of policy in 1996 continues to be on consolidating the fiscal position, in order to lower the debt-to-GDP ratio and reduce the need for recourse to exceptional financing (Box 2).

Box 2. Fiscal Policy, 1996

The 1996 government budget, which was approved by the National Assembly in December 1995, aims at reducing the overall fiscal deficit (on a commitment basis and excluding grants) by more than 1 percentage point, to about 2 percent of GDP, in line with the medium-term program. To this end, government revenues are to increase by 10 percent in 1996, to the equivalent of 15.4 percent of GDP. Spending, especially on wages and nonpriority outlays, is to be strictly limited, with total outlays increasing by only 3 percent.

The authorities expressed confidence that the 1996 government revenue target of CFAF 402.5 billion would be achieved. The benchmark for the first quarter of 1996 had already been exceeded, reflecting a strong tax revenue performance. To ensure that the improvement in tax collection is durable, the authorities will persevere with the strengthening of the customs and tax administrations, as well as the fight against fraud, taking into account the recommendations of a recent FAD technical assistance mission. The actions include strict control over statutory tax exemptions, and completion of the ongoing reorganization of the tax and customs administrations. At customs, emphasis continues to be placed on strengthening internal controls; improving and extending the computerized information system (GAINDE); reinforcing the import verification program; and bringing all bonded warehousing under tighter supervision. In addition, the implementation of the single taxpayer registration number for enterprises is expected to improve control of taxpayers and compliance.

On the spending side, the program calls for continued prudence, particularly as regards the wage bill and nonpriority outlays, but it also makes adequate provisions for basic health and education services. The share of the wage bill in total spending is to decline further, while those of education, health, and capital outlays would continue rising. To keep the wage bill within the programmed amount of CFAF 162.5 billion in 1996, no general pay raise is to be granted and new hiring is to be strictly limited--with the total number of civil servants not exceeding the 1995 level of 67,100. A one-time premium (totaling CFAF 2 billion) for military personnel on active duty in the Casamance region is to be fully offset by cuts in nonpriority outlays. The authorities intend to implement the recommendations of the recently concluded audit of the civil service, and to

replace the system of automatic salary adjustments by one based on merit. 1/ The 1996 budget has also allocated CFAF 10 billion for social safety net measures. The staff stressed the importance of integrating these measures into the Government's social programs and of targeting them more effectively. 2/ Capital spending is to rise by about 8.5 percent, with priority given to infrastructure and high-yielding projects, especially in agriculture and human resource development.

A study on the expenditure system has recently been completed, as envisaged in the memorandum on economic and financial policies for 1995-96. The authorities intend to continue adhering rigorously to the rules for executing and controlling public spending. They reiterated that there were no domestic payments arrears other than those already verified and settled by end-1995. In the last two budgets, instructions were given barring extrabudgetary expenditures, and suppliers were warned that the Government would honor its financial obligations only if budgetary procedures had been followed properly. In any event, the authorities intend to conduct (before end-1996) an audit to determine whether there are any other domestic payments arrears.

The program calls for a continued prudent credit policy by the BCEAO, consistent with the regional balance of payments objective. The rate of growth of broad money for Senegal is projected at some 11 percent in 1996, assuming a moderate decline in velocity as confidence takes hold. At the same time, the improvement in the fiscal position being sought should enable the Government to reduce further its indebtedness vis-à-vis the domestic banking system. This would make room for an adequate provision of credit to the private sector, while allowing for a further improvement in Senegal's contribution to the net foreign assets position of the BCEAO.

To encourage financial savings and ensure efficient credit allocation, the authorities intend to continue working in the context of the WAEMU to improve the indirect instruments of monetary policy at the disposal of the BCEAO, to encourage the development of broader-based market debt instruments, and to ensure that interest rates are market determined and competitive with those abroad. The BCEAO has recently prepared draft regulations on introducing open market operations, which are being considered by member countries. The Fund staff stressed that central bank bills are the most appropriate monetary instrument for the region, and that open market operations in the secondary market should begin only after a

1/ The Government decided to introduce such a system beginning in 1996, but the National Assembly has yet to approve it. A draft law to this effect will be submitted for the October 1996 legislative session.

2/ A recent study indicates that the January 1994 devaluation has led to a significant redistribution of income from urban areas to the rural areas, especially those producing groundnuts. An FAD technical assistance mission in late 1994 estimated that real incomes of the poor in Dakar had declined on average by 7 percent following the devaluation. Pockets of poverty in urban areas remain a serious concern.

well-functioning primary market has been developed. The authorities also intend to remain vigilant in enforcing the prudential ratios set by the regional banking commission, and to improve the legal procedures for the collection of claims. Two banks still experiencing difficulties (CNCAS and BST) are to be audited before end-1996.

2. Structural policies

Structural reforms continue to focus principally on three areas: (a) further liberalization of the economy and modernization of the regulatory framework; (b) greater efficiency and diversification in agriculture; and (c) an acceleration of public enterprise reform and privatization. 1/

In the regulatory area, the authorities are proceeding with the establishment of a more transparent and simple tax-incentives regime for investment purposes. In addition, the modernization of the legal environment for business operations, in the context of the ongoing harmonization of business law in Africa, is being given urgent priority. The authorities are also determined not to reintroduce price controls or ad hoc protectionist measures.

In the agricultural sector, the privatization of SONACOS and the restructuring of the cotton marketing enterprise (SODEFITEX) are proceeding as planned. The authorities also intend to step up efforts to promote horticulture and livestock production, to further strengthen local savings and loan associations in rural areas, and to raise investment efficiency in the sector.

The authorities are now speeding up the sale of the Méridien Président hotel and the small hotel entities, as well as the privatization of the Société sénégalaise des phosphates de Thiès (SSPT) and the Société propriétaire de l'hôtel de l'union Teranga (SPHU-Teranga). An action plan defining the next phase of public enterprise reform has been prepared (March 1996). The plan calls for the privatization of ten more enterprises and the liquidation of two others by end-1997. The authorities are also working with the World Bank on the reform of the energy sector. Finally, the authorities intend to adhere to the original timetable for the preparation and periodic reporting of comprehensive data on the financial operations of key public enterprises, which constitutes a structural benchmark for end-June 1996.

The authorities are participating actively in all the initiatives aimed at promoting regional integration and trade within the WAEMU, including the harmonization of domestic taxation and customs tariffs, as well as pursuing trade liberalization with other countries. Finally, in concert with its WAEMU partners, Senegal accepted the obligations of Article VIII,

1/ More details are provided in paragraphs 16-20 of the letter of intent (Appendix II).

Sections 2, 3, and 4 of the Fund's Articles of Agreement, effective June 1, 1996.

3. Medium-term balance of payments outlook and debt sustainability

The medium- and long-term balance of payments projections and debt sustainability analysis presented in EBS/95/183 (11/20/95) have been updated until 2015, in light of developments in 1995 and the latest estimates of the World Economic Outlook. 1/ On the assumption that the measures called for by the program continue to be carried out as planned, the external current account deficit, excluding official transfers, should narrow to about 7.3 percent of GDP in 1996, and to 4.6 percent by 2000, in line with the medium-term framework (Appendix I, Tables 7 and 8). With the improved competitiveness of the economy, export shipments are expected to continue diversifying and growing faster than GDP, while a slight increase in export prices appears to be in prospect. Tourism receipts are also projected to increase further. Import growth should remain moderate, as restrained demand policies keep import demand in check, especially for consumer goods.

The financing requirements for 1996 are expected to be fully covered by already secured debt relief and assistance from the World Bank, the European Union, and bilateral donors. 2/ Official bilateral creditors agreed at the recent Paris Club meeting to make effective the second tranche of the April 1995 rescheduling agreement covering maturities due in 1996. The Executive Board of the World Bank approved, on March 6, 1996, a grant from the IDA Debt Reduction Facility of up to US\$13.4 million to support a commercial debt reduction operation, which is expected to be completed in the next few months. 3/ The Fund staff stressed the importance of continued prudent debt management. On this assumption, Senegal's debt service obligations are projected to remain sustainable (Appendix I, Tables 9, 10, and 11), an assessment shared by the World Bank; the detailed debt sustainability analysis provided in EBS/95/183 thus remains valid. Under the updated scenario, total debt service would fall to about 14.5 percent of exports of goods, nonfactor services, and private transfers, and to 28 percent of government revenue by 2000, and to less than 6 percent

1/ The basic assumptions of the analysis presented in EBS/95/183 have not been changed.

2/ Senegal has just received from Taiwan Province of China unanticipated concessional external assistance of US\$130 million, of which US\$80 million would be available in 1996. The mission cautioned the authorities against using these resources to finance unsustainable extrabudgetary spending. The authorities stressed that this assistance would finance high-yielding projects included in the 1996 investment budget and other projects to be identified in the next three-year investment program. For 1996, most of the resources to be disbursed will be reflected in lower net indebtedness of the Government to the banking system.

3/ The operation is primarily structured as a buyback operation at 16 cents per dollar of debt; the amount of debt eligible is on the order of US\$120 million.

and 10 percent, respectively, by 2015. Similarly, the net present value of the stock of debt would decline to 98 percent of the above-mentioned exports and transfers by 2000, and to less than 40 percent by 2015. Repayments to the Fund will remain relatively small in relation to projected exports of goods and nonfactor services, and Senegal can be expected to meet its future obligations in a timely manner (Appendix I, Table 12).

IV. Staff Appraisal

Senegal's ESAF-supported program remains broadly on track. Economic developments in 1995 and early 1996 were encouraging, and the macroeconomic objectives of the program were largely achieved. In 1995 real GDP growth exceeded the target; average inflation dropped sharply once the initial wave of corrective price increases had worked its way through the economy; and the external current account deficit narrowed as projected. The quantitative and structural benchmarks for end-December 1995 were observed, except for the benchmark on government revenue, owing largely to delays in privatization. All quantitative and structural performance criteria and benchmarks for end-March 1996 were met.

Senegal has made important strides over the last two years in reducing financial imbalances and in building a sound basis for sustainable economic growth. Provided that the program continues to be implemented effectively, and pressures from certain interest groups are successfully resisted, the original objectives for 1996 are likely to be achieved. Nonetheless, the economic situation remains fragile and will require that the authorities guard against slippages during the remainder of the year by standing ready to take all measures necessary for the success of the program. The authorities should concentrate their efforts especially on the following three key areas:

- First, fiscal consolidation must be pursued vigorously and the overall fiscal deficit has to be curbed further to preserve the competitiveness gains already achieved, increase public savings to raise the domestic contribution to investment, and at the same time reduce the need for exceptional financing. To this end, government revenue collection must be enhanced, through the strengthening of the customs and tax administrations, and the fight against fraud. Continued prudence on the spending side, particularly as regards the wage bill and other nonpriority outlays, is also essential.

- Second, fiscal restraint should be accompanied by a prudent credit policy in the context of the regional monetary program of the common central bank. To encourage financial savings and ensure efficient credit allocation, the staff urges the authorities to accelerate, in the context of the WAEMU, the implementation of measures designed to improve the effectiveness of the indirect instruments of monetary policy at the disposal of the BCEAO, including the introduction of efficient open market operations. The authorities should also remain vigilant in enforcing the prudential ratios

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set by the regional banking commission, and in ensuring the soundness of the banking system.

- Third, the authorities should pursue further structural reforms and adhere to the original agenda, especially in the areas of modernization of the legal and regulatory framework, deepening of financial intermediation, and public enterprise restructuring and privatization. Stepped-up efforts in these areas are necessary to restore fully the confidence of the private sector, an important prerequisite for boosting investment and growth.

Senegal has made considerable progress in its reform efforts since the devaluation of the CFA franc in January 1994. However, the challenges ahead, especially to improve living standards, remain substantial. Over the medium term, the projected 4.5 percent real GDP growth rate, while sustainable, would not be sufficient to rapidly reduce poverty and raise per capita living standards. Accordingly, the next phase of reforms, as outlined above, should aim at giving a strong boost to savings and investment, thereby raising the growth prospects of the Senegalese economy, all in a context that would preserve macroeconomic stability. Foreign assistance directed toward high-yielding projects will also still be essential.

Senegal maintains an exchange system that is free of restrictions on the making of payments and transfers for current international transactions. The staff welcomes the recent decision by Senegal, in concert with its WAEMU partners, to accept the obligations of Article VIII, Sections 2, 3, and 4 of the Fund's Articles of Agreement. The staff also encourages the authorities to continue improving the statistical base, especially in the areas of national income accounts and the balance of payments.

In view of the encouraging developments so far, and of the authorities' strong commitment to the continued success of the program, the staff recommends that the present review under the second annual ESAF arrangement be completed.

It is proposed that the next Article IV consultation with Senegal be held on the standard 12-month cycle.

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V. Proposed Decision

In view of the foregoing, the following draft decision is proposed for adoption by the Executive Board:

Senegal - Review Under the Second Annual ESAF Arrangement

1. Senegal has consulted with the Fund in accordance with paragraph 2(d) of the second annual arrangement under the enhanced structural adjustment facility (ESAF) for Senegal (EBS/95/183, Supplement 1, 12/14/95), and paragraph 5 of the letter of October 12, 1995 from the Minister of Economy, Finance, and Planning of Senegal.

2. The letter of the Minister of Economy, Finance, and Planning of Senegal dated May 15, 1996 shall be attached to the second annual ESAF arrangement for Senegal, and the letter with annexed memorandum of October 12, 1995 shall be read as supplemented by the letter dated May 15, 1996.

3. The Fund determines that the review contemplated in paragraph 2(d) of the second annual ESAF arrangement for Senegal has been completed and that Senegal may proceed to request the disbursement of the second loan under that arrangement.

Table 1. Senegal: Fund Position During the Period of the ESAP Arrangement, 1996-97

	Outstanding March 31, 1996	1996			1997		
		Apr.- June	July- Sept.	Oct.- Dec.	Jan.- Mar.	Apr.- June	
(In millions of SDRs)							
Net use of Fund credit		-11.49	20.80	4.64	-2.98	-0.06	
Transactions under tranche policies							
Purchases		--	--	--	--	-3.86	
Ordinary resources		--	--	--	--	--	
Borrowed resources		--	--	--	--	--	
Repurchases		--	--	--	--	-3.86	
Ordinary resources		--	--	--	--	-3.86	
Borrowed resources		--	--	--	--	--	
Transactions under special facilities		--	--	--	--	--	
Loans under		-11.49	20.80	4.64	-2.98	3.80	
Structural adjustment facility		-4.26	--	-4.26	--	-2.55	
Drawings		--	--	--	--	--	
Repayments		-4.26	--	-4.26	--	-2.55	
Enhanced structural adjustment facility		-7.23	20.80	8.90	-2.98	6.35	
Drawings		--	23.78	17.84	--	17.84	
Repayments		-7.23	-2.98	-8.94	-2.98	-11.49	
Total Fund credit outstanding	230.33	218.84	239.64	244.29	241.31	241.24	
Under tranche policies	30.91	30.91	30.91	30.91	30.91	27.05	
Under special facilities	--	--	--	--	--	--	
Under structural adjustment facility	13.62	9.36	9.36	5.11	5.11	2.55	
Under enhanced structural adjustment facility	185.80	178.57	199.37	208.27	205.29	211.64	
(In percent of quota)							
Total Fund credit outstanding	193.72	184.05	201.55	205.46	202.95	202.89	
Under tranche policies	26.00	26.00	26.00	26.00	26.00	22.75	
Under special facilities	--	--	--	--	--	--	
Under structural adjustment facility	11.46	7.87	7.87	4.30	4.30	2.15	
Under enhanced structural adjustment facility	156.27	150.19	167.68	175.16	172.66	177.99	

Source: IMF, Treasurer's Department.

Table 2. Senegal: Selected Economic and Financial Indicators, 1993-98

	1993	1994	1995		1996		1997	1998
			Rev.	Prel.	Prog.	Proj.	Projections	
			prog.					
			(Annual percentage change)					
National income and prices								
GDP at constant prices	-2.1	2.0	4.5	4.8	4.5	4.5	4.5	4.5
GDP deflator	0.4	33.2	7.8	7.6	2.7	2.7	2.5	2.5
Consumer prices 1/								
Annual average	-0.7	32.1	8.0	8.1	2.7	2.7	2.5	2.5
End-of-period	0.5	37.5	5.5	5.5	...	2.5	...	...
External sector								
Exports, f.o.b. (in SDRs)	-13.8	9.5	14.7	15.1	7.4	9.3	5.6	5.1
Imports, f.o.b. (in SDRs)	-8.0	-7.9	12.0	11.9	6.1	9.4	3.6	4.6
Export volume	-7.5	9.1	7.0	7.5	7.5	4.9	5.7	5.1
Import volume	-4.7	-4.4	5.0	3.0	4.2	4.3	4.0	3.9
Terms of trade (deterioration -)	-2.7	4.4	-0.6	-2.1	-1.3	-0.2	0.5	-0.6
Nominal effective exchange rate 2/	2.0	-49.1	2.2	2.9	...	...	...	...
Real effective exchange rate 2/	-2.3	-35.3	0.5	8.0	...	...	...	...
Government financial operations								
Revenue	-12.8	17.8	23.2	21.5	8.4	9.9	9.3	8.6
Total expenditure and net lending	-9.7	32.8	6.2	4.7	0.7	2.5	0.9	3.8
Money and credit								
Net domestic assets 3/	-4.5	-8.5	3.8	-5.3	5.4	1.5	4.9	5.8
Of which: Credit to the Government (net)	(-6.6)	(-14.7)	(-2.4)	(-0.7)	(-1.6)	(-5.4)	(-3.1)	(-2.6)
Credit to the economy	(3.3)	(8.1)	(7.8)	(0.7)	(7.0)	(6.9)	(8.0)	(8.4)
Money and quasi-money (M2)	-12.6	37.8	17.8	7.6	12.3	11.0	7.2	4.4
Velocity (GDP/M2)	4.7	4.6	4.4	4.9	4.2	4.7	4.7	4.8
Interest rates (end of period)								
Discount rate	10.5	10.0	...	7.5	...	...	...	...
Money market rate	7.4	5.5	...	6.0	...	...	...	...
			(In percent of GDP, unless otherwise indicated)					
Overall fiscal surplus or deficit (-)								
Commitment basis, excluding grants	-4.0	-5.7	-3.3	-3.2	-2.0	-2.1	-0.7	--
Commitment basis, including grants	-3.0	-1.8	-0.1	-0.2	-0.7	-0.3	0.4	1.0
Payments arrears of the Government and public agencies (stock at end of period)	8.5	2.8	--	--	--	--	--	--
Gross domestic investment	13.2	13.6	15.6	15.6	16.9	16.9	17.9	18.0
Gross domestic savings	4.9	7.2	11.0	10.4	12.8	11.9	13.6	14.0
Gross national savings (inc. off. transfers)	8.2	13.7	15.5	15.1	15.6	15.5	16.7	17.0
External current account deficit (-)								
Excluding official transfers	-10.3	-9.3	-8.0	-8.0	-7.3	-7.3	-6.4	-5.9
Including official transfers	-5.0	0.1	-0.1	-0.6	-1.3	-1.4	-1.2	-1.0
External debt 4/	62.5	80.9	71.7	70.7	67.6	68.3	63.4	58.3
External debt (NPV)	40.3	54.3	47.8	45.6	44.4	43.2	40.1	37.2
In percent of exports of goods, nonfactor services, and private transfers (XGNFST)	168.5	152.6	134.3	134.1	126.9	127.8	119.9	112.6
Debt service ratio 5/								
In percent of XGNFST	23.0	20.3	18.1	18.8	17.0	18.0	17.6	16.9
In percent of government revenue	34.2	51.5	42.0	42.4	38.5	39.4	37.4	35.0
GDP at current market prices (in billions of CFA francs)	1,586.6	2,155.1	2,426.6	2,429.8	2,604.0	2,608.7	2,795.5	2,995.6
Overall balance of payments surplus or deficit (-) (in millions of SDRs) 6/	-199.6	92.2	52.0	13.0	-1.2	24.2	-16.8	-14.0

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

^{1/} Index of consumer prices in Dakar.

^{2/} Average data (depreciation -). For 1995, program data correspond to change from December 1994 to June 1995.

^{3/} Changes in percent of beginning-of-period money stock.

^{4/} Public and publicly guaranteed debt, including Fund credit and central bank liabilities.

^{5/} Before debt rescheduling, but after debt cancellation.

^{6/} Before debt rescheduling and debt cancellation.

Table 3. Senegal: Government Financial Operations, 1993-96

	1993	1994	1995		1996	
			Rev. prog.	Prel.	Prog.	Proj.
(In billions of CFA francs)						
Total revenue and grants	272.6	385.6	449.6	439.7	437.5	448.0
Revenue	255.9	301.5	371.4	366.2	402.5	402.5
Tax revenue	220.2	267.9	325.3	330.3	364.4	364.4
Nontax revenue	35.7	33.6	46.1	35.9	38.1	38.1
Grants	16.7	84.1	78.2	73.5	35.0	45.5
Total expenditure and net lending	319.8	424.8	451.3	444.7	454.5	456.0
Current expenditure	249.5	318.6	324.6	316.6	326.9	326.9
Wages and salaries	132.3	148.8	157.5	157.5	162.5	164.5
Interest due	34.7	71.5	67.2	64.5	68.3	68.3
Of which: external 1/	(28.1)	(58.3)	(60.8)	(55.8)	(57.2)	(57.2)
Other current expenditure	82.5	98.3	99.9	94.6	96.1	94.1
Of which: social safety net	(--)	(14.6)	(14.1)	(14.0)	(10.0)	(10.0)
Capital expenditure	64.9	100.2	116.0	117.7	127.6	127.6
Domestically financed	27.9	26.2	34.0	35.7	41.6	41.6
Externally financed	37.0	74.0	82.0	82.0	86.0	86.0
Voluntary departure program	--	0.1	--	--	--	--
Treasury special accounts and correspondents (net) 2/	-5.4	-5.9	-10.7	-10.4	--	-1.5
Overall fiscal balance (commitment basis)	-47.2	-39.2	-1.7	-5.0	-17.0	-8.0
Adjustment to cash basis	44.4	-160.8	-60.4	-60.4	--	--
Change in payments arrears	49.3	-160.8	-60.4	-60.4	--	--
Domestic arrears	12.0	-32.1	-14.9	-14.9	--	--
External arrears	37.3	-128.7	-45.5	-45.5	--	--
Crop credit (repayment -)	-4.9	--	--	--	--	--
Overall fiscal balance (cash basis)	-2.8	-200.0	-62.1	-65.4	-17.0	-8.0
Financing	2.8	200.0	62.1	65.4	17.0	8.0
External financing	8.6	186.7	74.5	80.5	25.9	57.8
Drawings	40.1	80.9	90.0	81.6	66.0	101.1
Treasury	0.1	18.9	38.0	29.6	10.0	15.1
Project loans	22.0	44.0	52.0	52.0	56.0	46.0
Other 3/	18.0	18.0	--	--	--	40.0
Amortization due 1/	-41.4	-83.1	-73.8	-73.1	-68.5	-72.6
Debt relief 4/	9.9	169.3	63.9	77.6	35.4	36.3
Paris Club deferral	--	19.6	-5.6	-5.6	-7.0	-7.0
Domestic financing	-5.8	13.3	-12.5	-15.1	-18.9	-49.8
Banking system 5/	-17.0	1.0	-3.2	-14.2	-8.8	-35.0
Repayment of ONCAD and consolidated debt	-6.9	--	--	--	--	--
Nonbank borrowing	9.1	13.2	-6.3	6.0	-6.5	-11.2
Other	9.0	-0.9 6/	-3.0	-6.9 6/	-3.6	-3.6
Financing gap	--	--	--	--	10.0	--
(In percent of GDP)						
Total revenue and grants	17.2	17.9	18.5	18.1	16.8	17.2
Of which: revenue	(16.2)	(14.0)	(15.3)	(15.1)	(15.5)	(15.4)
tax revenue	(13.9)	(12.4)	(13.4)	(13.6)	(14.0)	(14.0)
Total expenditure and net lending	20.2	19.7	18.6	18.3	17.5	17.5
Of which: current expenditure	(15.7)	(14.8)	(13.4)	(13.0)	(12.6)	(12.5)
capital expenditure	(4.1)	(4.6)	(4.8)	(4.8)	(4.9)	(4.9)
Overall fiscal balance	-4.0	-5.7	-3.3	-3.2	-2.0	-2.1
Commitment basis, excluding grants	-1.2	-13.2	-5.8	-5.7	-2.0	-2.1
Cash basis, excluding grants						
Memorandum items:						
(In billions of CFA francs)						
Stock of domestic payments arrears (end of period data)	47.0	14.9	--	--	--	--
Gross domestic product	1,586.6	2,155.1	2,426.6	2,429.8	2,604.0	2,608.7

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

- 1/ The external debt service figures include all debt directly contracted by the Government and the part of the government-guaranteed debt serviced by the Government; for the projections, the latter is assumed to be 30 percent. For 1996, debt service is net of the impact of the French debt cancellation obtained in 1994.
- 2/ Deficits are added to expenditure, while surpluses are deducted. The Treasury's special accounts exclude net repayments in the Debt Amortization Fund, National Energy Fund, and investment expenditures relating to the Fifth and Sixth Plans, which are shown separately.
- 3/ Amounts shown for 1993-94 include the two tranches of a loan from the African Development Bank for the financing of small- and medium-scale enterprise development. The amount shown in 1996 represents an unanticipated loan received from Taiwan Province of China.
- 4/ Includes debt rescheduling from the Paris Club and other official bilateral creditors, commercial bank debt restructuring requested in 1994, and, until 1996, debt cancellation granted by France in early 1994.
- 5/ Includes counterparts of Fund purchases and repurchases, as well as those of loans under the structural and enhanced structural adjustment facilities; and starting in 1994, also includes repayments of ONCAD and consolidated debt. Excludes changes in the amount of securities issued against the consolidated public debt and held outside the banking system.
- 6/ Includes errors and omissions.

Table 4. Senegal: Government Revenue, 1993-96 ^{1/}

	1993	1994	1995		1996	
			Rev. prog.	Prel.	Prog.	Proj.
<u>(In billions of CFA francs)</u>						
Total revenue	255.9	301.5	371.4	366.2	402.5	402.5
Tax revenue	220.2	267.9	325.3	330.3	364.4	364.4
Taxes on international trade	95.5	124.0	154.0	155.7	174.7	174.7
Taxes on goods and services	55.7	69.0	82.6	83.7	100.5	100.5
Taxes on income and profits	59.5	63.2	78.6	79.8	77.6	77.6
Other taxes	9.5	11.7	10.1	11.1	11.6	11.6
Nontax revenue	35.7	33.6	46.1	35.9	38.1	38.1
<u>(In percent of GDP)</u>						
Total revenue	16.1	14.0	15.3	15.1	15.5	15.4
Tax revenue	13.9	12.4	13.4	13.6	14.0	14.0
Taxes on international trade	6.0	5.8	6.3	6.4	6.7	6.7
Taxes on goods and services	3.5	3.2	3.4	3.4	3.9	3.9
Taxes on income and profits	3.8	2.9	3.2	3.3	3.0	3.0
Other taxes	0.6	0.5	0.4	0.5	0.4	0.4
Nontax revenue	2.3	1.6	1.9	1.5	1.5	1.5
<u>(In percent of imports, c.i.f.)</u>						
Taxes on international trade	26.9	19.1	22.2	22.6	23.9	23.7

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

^{1/} Data may not add up because of rounding.

Table 5. Senegal: Monetary Survey, 1993-96

	1993		1994	1995		1996	
	Act.	Rev. 1/		Rev. prog.	Prel.	Prog.	Proj.
(In billions of CFA francs; end of period)							
Foreign assets (net)	-202.9	-400.2	-221.0	-157.7	-162.4	-120.3	-115.2
BCEAO	-186.8	-365.1	-231.6	-173.3	-189.4	-135.9	-142.2
Commercial banks	-16.1	-35.1	10.6	15.6	27.0	15.6	27.0
Net domestic assets	557.9	655.0	626.3	644.1	601.9	673.6	609.4
Of which: BCEAO 2/	(297.0)	(394.1)	(337.8)	(283.6)	(314.0)	(293.3)	(288.3)
Credit to the Government (net)	264.9	362.0	312.5 3/	301.4 3/	309.2 3/	292.6 3/	282.5 3/
Central Bank	299.6	396.7	340.9	289.8	330.7	299.5	305.0
Commercial banks	-35.4	-35.4	-30.0	10.1	-23.3	-8.4	-24.3
Other	0.7	0.7	1.6	1.5	1.8	1.5	1.8
Credit to the economy	243.1	243.1	270.5	306.8	273.8	345.2	308.0
Crop credits	7.6	7.6	12.7	16.0	0.4	18.0	5.0
Other credits	235.5	235.5	257.8	290.8	273.4	327.2	303.0
Other items (net)	49.9	49.9	43.3	35.9	18.9	35.9	18.9
Medium- and long-term foreign assets	-18.5	-32.4	-33.2	-31.8	-32.1	-31.8	-32.1
Revaluation account	--	114.1	91.6	91.6	91.6	91.6	91.6
Money supply (M2)	336.5	336.5	463.7	546.2	499.0	613.1	553.7
Currency outside banks	93.0	93.0	145.6	146.2	152.0	164.1	171.7
Deposits	243.5	243.5	318.1	400.0	347.0	449.0	382.1
<u>Memorandum items:</u>							
Base money	100.9	100.9	176.9	181.9	196.2	229.0	217.8
Bank reserves	26.3	26.3	20.3	35.7	44.2	64.9	46.1
Claims of the Central Bank on commercial banks	25.3	25.3	11.5	11.5	--	7.0	--
(Annual change in percent of beginning-of-period money stock)							
Foreign assets (net)	-8.0		53.3	13.7	12.6	6.8	9.5
BCEAO	-8.5		39.7	12.6	9.1	6.8	9.5
Commercial banks	0.5		13.6	1.1	3.5	--	--
Net domestic assets	-4.5		-8.5	3.8	-5.3	5.4	1.5
Credit to the Government (net)	-6.6		-14.7 3/	-2.4 3/	-0.7 3/	-1.6 3/	-5.4 3/
Central Bank	-4.2		-16.6	-11.0	-2.2	1.8	-5.1
Commercial banks	-2.3		1.6	8.6	1.5	-3.4	-0.2
Other	-0.1		0.3	--	--	--	--
Credit to the economy	3.3		8.1	7.8	0.7	7.0	6.9
(annual percentage change)	5.6		11.3	13.4	1.2	12.5	12.5
Crop credits	-3.3		1.5	0.7	-2.7	0.4	0.9
Other credits	6.7		6.6	7.1	3.4	6.7	5.9
Other items (net)	-1.3		-2.0	-1.6	-5.3	--	--
Money supply (M2)	-12.6		37.8	17.8	7.6	12.3	11.0

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

^{1/} Accounts revalued at the new exchange rate of CFAF 100 per French franc.

^{2/} Defined as base money minus net foreign assets.

^{3/} Excluding securities held by local nonbank investors and by investors from other WAEMU countries.

Table 6. Senegal: Summary Accounts of the Central Bank
and Commercial Banks, 1993-96

(In billions of CFA francs; end of period)

	1993		1994	1995		1996	
	Act.	Rev. 1/		Rev. prog.	Prel.	Prog.	Proj.
BCEAO							
Net foreign assets	-186.8	-365.1	-231.6	-173.3	-189.4	-135.9	-142.2
Assets	1.0	1.5	12.8	...	51.2	...	...
Liabilities	-187.8	-366.6	-244.4	...	-240.6	...	...
Net domestic assets	297.0	394.1	337.8	283.6	314.0	293.3	288.3
Credit to the Government (net)	299.6	396.7	340.9	289.8	330.7	299.5	305.0
Claims	305.3	402.4	354.7	295.8	349.9	303.0	354.2
Deposits and cash	-5.7	-5.7	-13.8	-6.0	-19.2	-3.5	-49.2
Claims on other financial institutions (net)	0.3	0.3	0.2	-0.1	0.6	-0.1	0.6
Other items (net)	-2.9	-2.9	-3.3	-6.1	-17.3	-6.1	-17.3
Base money	100.9	100.9	176.9	181.9	196.2	229.0	217.8
Net claims of deposit money banks	7.9	7.9	31.3	35.7	44.2	64.9	46.1
Currency outside banks	93.0	93.0	145.6	146.2	152.0	164.1	171.7
Revaluation account	--	-90.5	-90.5	-90.5	-90.5	-90.5	-90.5
SDR counterpart	9.3	18.6	19.8	18.9	18.9	18.9	18.9
Commercial banks							
Net foreign assets	-16.1	-35.1	10.6	15.6	27.0	15.6	27.0
Assets	20.2	31.4	70.2	...	78.4	...	...
Liabilities	-36.3	-66.5	-59.6	...	-51.4	...	...
Net domestic assets	258.1	258.1	295.2	355.7	283.9	375.6	317.0
Credit to the Government (net)	-35.4	-35.4	-30.0	10.1	-23.3	-8.4	-24.3
Claims	82.6	82.6	109.3	143.8	113.0	129.7	111.0
Deposits	-118.0	-118.0	-139.3	-133.7	-136.3	-138.1	-135.3
Credit to the private sector	240.2	240.2	267.6	303.6	271.0	342.0	305.1
Other items (net)	53.3	53.3	57.6	42.0	36.2	42.0	36.2
Reserves 2/	26.3	26.3	20.3	35.7	44.2	64.9	46.1
Claims of the Central Bank	18.9	18.9	--	--	--	--	--
Private sector deposits	240.2	240.2	313.8	395.2	342.9	444.2	378.0
Medium- and long-term external liabilities	9.2	13.8	13.4	12.9	13.2	12.9	13.2
Revaluation account	--	-23.6	-1.1	-1.1	-1.1	-1.1	-1.1

Sources: Data provided by the BCEAO; and staff estimates and projections.

^{1/} Accounts revalued at the new exchange rate of CFAF 100 per French franc.
^{2/} Net position in the money market plus other reserves.

Table 7. Senegal: Balance of Payments, 1993-2000
(In billions of CFA francs, unless otherwise indicated)

	1993	1994	1995		1996		1997	1998	1999	2000
			Rev. prog.	Prel.	Prog.	Proj.	Projections			
Trade balance	-107.4	-129.2	-127.0	-123.9	-127.6	-132.8	-129.0	-133.6	-135.0	-135.1
Exports, f.o.b.	200.3	440.8	484.1	483.5	514.9	516.6	550.6	584.2	623.5	666.1
Of which: groundnut products	(13.4)	(55.5)	(52.0)	(51.0)	(44.4)	(52.6)	(53.4)	(53.1)	(56.1)	(60.8)
Imports, f.o.b.	-307.7	-570.0	-611.1	-607.3	-642.5	-649.5	-679.6	-717.8	-758.5	-801.2
Of which: petroleum products	(-30.8)	(-69.4)	(-66.6)	(-60.6)	(-69.7)	(-72.8)	(-70.3)	(-74.0)	(-77.9)	(-82.0)
Services (net)	-61.5	-84.1	-78.2	-80.9	-70.1	-68.9	-59.7	-53.3	-40.6	-34.9
Credits	149.0	282.2	335.2	299.4	353.3	321.0	340.6	360.8	382.3	405.4
Debits	-210.5	-366.3	-413.4	-380.3	-423.4	-389.8	-400.3	-414.0	-423.0	-440.3
Of which: interest due on public debt ^{1/}	(-38.7)	(-69.7)	(-69.4)	(-69.4)	(-65.2)	(-65.2)	(-62.7)	(-61.8)	(-57.5)	(-61.2)
Unrequited transfers (net)	89.8	215.4	203.9	190.9	163.4	165.3	154.1	158.5	163.0	166.1
Private (net)	10.3	21.0	28.4	19.9	27.5	18.7	19.3	19.9	20.5	21.1
Public (net)	79.5	194.4	175.5	171.0	135.9	146.6	134.8	138.6	142.5	145.0
Of which: gross official transfers	(83.7)	(202.4)	(193.9)	(179.4)	(154.7)	(155.2)	(143.5)	(147.5)	(151.6)	(154.3)
Current account balance (deficit -)	-79.0	2.1	-1.3	-13.9	-34.3	-36.4	-34.6	-28.5	-12.7	-3.9
Current account (excluding gross official transfers)	-162.7	-200.3	-195.2	-193.3	-188.9	-191.6	-178.1	-176.0	-164.3	-158.2
Capital account	0.1	71.2	40.8	23.7	33.3	54.3	22.1	17.9	12.7	3.0
Public sector (net)	23.3	35.0	40.8	33.2	23.3	54.3	12.1	7.9	2.7	-7.0
Drawings	64.3	120.5	118.0	109.6	90.0	125.1	80.0	80.0	80.0	80.0
Amortization due ^{1/}	-41.0	-85.5	-77.2	-76.4	-66.7	-70.8	-67.9	-72.1	-77.3	-87.0
Other capital	-23.2	36.2	--	-9.5	10.0	--	10.0	10.0	10.0	10.0
Deposit money banks	-1.9	-45.7	-5.0	-16.4	--	--	--	--	--	--
Other ^{2/}	-21.3	81.9	5.0	6.9	10.0	--	10.0	10.0	10.0	10.0
Overall balance (deficit -)	-78.9	73.3	39.6	9.8	-0.9	17.9	12.5	-10.6	--	-0.9
Debt rescheduling ^{3/}	9.9	153.6	58.9	72.6	35.4	36.3	18.4	2.9	2.7	--
Paris Club deferral	--	19.6	-5.6	-5.6	-7.0	-7.0	-8.5	--	--	--
Debt relief from debt cancellation ^{4/}	--	15.7	10.9	10.9	--	--	--	--	--	--
Financing	69.0	-262.2	-103.8	-87.7	-37.4	-47.2	-12.4	7.7	-2.7	0.9
Net foreign assets (BCEAO)	31.7	-133.5	-58.3	-42.2	-37.4	-47.2	-12.4	7.7	-2.7	0.9
Operations account and other	39.4	-155.7	-79.5	-63.2	-45.8	-55.3	8.4	41.2	15.4	14.0
Net use of Fund resources	-7.7	22.2	21.2	21.0	8.4	8.1	-20.8	-33.5	-18.1	-13.1
Drawings	--	38.1	41.6	41.1	31.4	30.8	13.3	--	--	--
Repayments	-7.7	-15.9	-20.4	-20.1	-23.0	-22.7	-34.1	-33.5	-18.1	-13.1
Payments arrears (reduction -)	37.3	-128.7	-45.5	-45.5	--	--	--	--	--	--
Financing gap	--	--	--	--	10.0	--	15.0	--	--	--
<u>Memorandum items:</u>										
Current account (in percent of GDP)										
Including gross official transfers	-5.0	0.1	-0.1	-0.6	-1.3	-1.4	-1.2	-1.0	-0.4	-0.1
Excluding gross official transfers	-10.3	-9.3	-8.0	-8.0	-7.3	-7.3	-6.4	-5.9	-5.1	-4.6
Exchange rate (CFAF/SDR)	395.4	795.0	761.2	757.1	753.9	740.2	747.3	754.3	760.6	767.6

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

^{1/} After debt cancellation obtained through 1993; and, from 1996, after ODA debt cancellation granted by France in 1994.

^{2/} Including private capital, revaluation of BCEAO assets, and errors and omissions.

^{3/} Including debt rescheduling from the Paris Club and other official bilateral creditors, and commercial bank debt rescheduling requested in 1994.

^{4/} Based on the debt cancellation of CFAF 143.1 billion granted by France in early 1994.

Table 8. Senegal: Balance of Payments, 1993-2000

(In millions of SDRs, unless otherwise indicated)

	1993	1994	1995		1996		1997	1998	1999	2000
			Rev. prog.	Prel.	Prog.	Proj.		Projections		
Trade balance	-271.6	-162.5	-166.8	-163.6	-169.2	-179.4	-172.6	-177.1	-177.5	-176.0
Exports, f.o.b.	506.6	554.5	636.0	638.5	683.0	698.0	736.8	774.5	819.8	867.8
Of which: groundnut products	(33.8)	(69.9)	(68.3)	(67.4)	(58.9)	(71.1)	(71.4)	(70.4)	(73.7)	(79.2)
Imports, f.o.b.	-778.2	-716.9	-802.9	-802.2	-852.2	-877.4	-909.4	-951.6	-997.3	-1,043.8
Of which: petroleum products	(-77.9)	(-87.3)	(-87.5)	(-80.1)	(-92.5)	(-98.3)	(-94.0)	(-98.2)	(-102.5)	(-106.9)
Services (net)	-155.4	-105.8	-102.8	-106.9	-93.0	-93.1	-79.9	-70.7	-53.4	-45.4
Credits	376.9	354.9	440.4	395.4	468.6	433.6	455.8	478.3	502.7	528.2
Debits	-532.3	-460.8	-543.2	-502.4	-561.6	-526.6	-535.6	-548.9	-556.1	-573.7
Of which: interest due on public debt ^{1/}	(-97.9)	(-87.7)	(-91.2)	(-91.7)	(-86.5)	(-88.1)	(-83.9)	(-81.9)	(-75.6)	(-79.7)
Unrequited transfers (net)	227.1	270.9	267.9	252.1	216.7	223.3	206.2	210.1	214.3	216.4
Private (net)	26.1	26.4	37.3	26.3	36.5	25.3	25.8	26.4	26.9	27.5
Public (net)	201.1	244.5	230.6	225.9	180.3	198.0	180.3	183.7	187.3	188.9
Of which: gross official transfers	(211.7)	(254.6)	(254.7)	(236.9)	(205.1)	(209.6)	(192.1)	(195.6)	(199.4)	(201.0)
Current account balance (deficit -)	-199.9	2.7	-1.7	-18.4	-45.5	-49.2	-46.3	-37.8	-16.6	-5.0
Current account (excluding gross official transfers)	-411.6	-251.9	-256.4	-255.3	-250.6	-258.8	-238.4	-233.3	-216.0	-206.1
Capital account	0.3	89.6	53.7	31.3	44.2	73.4	29.5	23.7	16.7	3.9
Public sector (net)	58.9	44.0	53.7	43.8	30.9	73.4	16.1	10.5	3.5	-9.1
Drawings	162.6	151.6	155.0	144.8	119.4	169.0	107.1	106.1	105.2	104.2
Amortization due ^{1/}	-103.7	-107.5	-101.4	-100.9	-88.4	-95.6	-90.9	-95.6	-101.6	-113.3
Other capital	-58.6	45.6	--	-12.5	13.3	--	13.4	13.3	13.1	13.0
Deposit money banks	-4.8	-57.5	-6.6	-21.7	--	--	--	--	--	--
Other ^{2/}	-53.8	103.0	6.6	9.2	13.3	--	13.4	13.3	13.1	13.0
Overall balance (deficit -)	-199.6	92.2	52.0	13.0	-1.2	24.2	-16.8	-14.0	0.1	-1.1
Debt rescheduling ^{3/}	25.0	193.2	77.4	95.9	46.9	49.0	24.7	3.8	3.5	--
Paris Club deferral	--	24.6	-7.4	-7.4	-9.3	-9.5	-11.3	--	--	--
Debt relief from debt cancellation ^{4/}	--	19.7	14.3	14.4	--	--	--	--	--	--
Financing	174.5	-329.8	-136.4	-115.8	-49.7	-63.8	-16.6	10.2	-3.6	1.1
Net foreign assets (BCEAO)	80.2	-167.9	-76.6	-55.7	-49.7	-63.8	-16.6	10.2	-3.6	1.1
Operations account and other	99.7	-195.8	-104.5	-83.5	-60.8	-74.7	11.2	54.6	20.2	18.2
Net use of Fund resources	-19.5	27.9	27.9	27.9	11.1	11.0	-27.8	-44.4	-23.9	-17.1
Drawings	--	47.9	54.7	54.9	41.6	41.6	17.8	--	--	--
Repayments	-19.5	-20.0	-26.8	-26.8	-30.5	-30.6	-45.6	-44.4	-23.9	-17.1
Payments arrears (reduction -)	94.4	-161.9	-59.8	-60.1	--	--	--	--	--	--
Financing gap	--	--	--	--	13.3	--	20.1	--	--	--
Memorandum items:										
Current account (in percent of GDP)										
Including gross official transfers	-5.0	0.1	-0.1	-0.6	-1.3	-1.4	-1.2	-1.0	-0.4	-0.1
Excluding gross official transfers	-10.3	-9.3	-8.0	-8.0	-7.3	-7.3	-6.4	-5.9	-5.1	-4.6
Exchange rate (CFAF/SDR)	395.4	795.0	761.2	757.1	753.9	740.2	747.3	754.3	760.6	767.6

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

^{1/} After debt cancellation obtained through 1993; and, from 1996, after ODA debt cancellation granted by France in 1994.

^{2/} Including private capital, revaluation of BCEAO assets through 1993, and errors and omissions.

^{3/} Including debt rescheduling from the Paris Club and other official bilateral creditors, and commercial bank debt rescheduling requested in 1994.

^{4/} Based on the debt cancellation of SDR 176.7 million granted by France in early 1994.

Table 9. Senegal: External Debt Indicators, 1996-2015
(In percent, unless otherwise indicated)

	1996	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2010	2015	Average 1996-2006- 2005 2015
Debt and debt service indicators 1/														
Debt service ratio 2/	14.7	16.5	16.6	14.3	14.4	13.4	12.7	11.8	11.1	10.0	8.5	6.8	5.5	13.5 6.7
before restructuring	18.0	17.6	16.9	14.5	14.4	13.4	12.7	11.8	11.1	10.0	8.5	6.8	5.5	14.0 6.7
Multilateral debt service ratio 2/	9.1	9.4	8.8	6.8	5.6	5.5	5.3	5.0	4.7	4.1	3.2	2.2	1.5	6.4 2.1
Public sector debt service														
as percent of revenues (excluding grants)	39.4	37.4	35.0	29.2	28.0	25.8	24.1	22.2	20.7	18.4	15.6	12.1	9.3	28.0 11.8
as percent of expenditures	34.8	35.8	35.0	30.6	30.3	28.3	26.4	24.2	22.4	19.9	16.9	12.8	10.3	28.8 12.7
NPV debt 2/	127.8	119.9	112.6	100.3	97.5	87.6	81.3	75.1	70.0	64.6	58.0	46.1	34.7	93.7 45.1
Debt-GDP ratio	68.3	63.4	58.3	54.2	50.3	46.7	43.2	40.0	37.0	34.4	32.1	24.6	16.9	49.6 24.1
Multilateral debt-GDP ratio	43.6	40.9	37.8	35.4	33.2	31.5	29.9	28.4	26.9	25.5	24.2	19.8	14.8	33.3 19.4
Key assumptions/projections 1/														
Real GDP growth	4.5	4.5	4.5	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.1 4.0
Export volume growth	4.9	5.7	5.1	5.0	4.8	4.7	4.5	4.4	4.4	4.0	4.0	4.0	4.0	4.8 4.0
Import volume growth	4.3	4.0	3.9	3.7	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.7 3.5
Terms of trade (percent change)	-0.2	0.5	-0.6	-0.1	0.1	-0.2	0.1	-0.2	0.1	0.1	0.1	--	--	-- --
Noninterest current account (percent of GDP)	1.1	1.0	1.1	1.4	1.7	1.6	1.5	1.4	1.3	1.1	0.9	0.7	0.6	1.3 0.7
excluding official transfers	-4.8	-4.1	-3.8	-3.3	-2.8	-2.7	-2.5	-2.4	-2.2	-2.1	-2.0	-1.6	-1.2	-3.1 -1.6
Official transfers (percent change in dollar terms)	-14.5	-8.4	2.0	2.0	1.1	-0.6	-0.8	-0.8	-1.6	-1.5	-2.7	--	--	-2.5 -0.3
Gross official reserves														
(in months of imports)	2.0	1.7	1.0	...	...	...	...	...	...	...	...	...	...	...
Financing gap (percent of GDP)	--	0.5	--	--	--	--	--	--	--	--	--	--	--	0.1 --
Sensitivity analysis 1/														
Debt service ratio in the event of:														
lower export growth 3/	14.9	17.0	17.2	15.0	15.4	14.6	14.0	13.2	12.6	11.5	10.1	8.7	7.7	14.6 8.6
stock of debt operation 4/	14.7	16.5	16.1	13.8	14.0	13.0	12.3	11.5	10.9	9.9	8.5	6.8	5.5	13.3 6.7

1/ Debt service is after debt cancellation; assumes implementation of commercial debt buyback operation.

2/ In percent of exports of goods, nonfactor services, and private transfers.

3/ Assumes one percentage point lower export growth.

4/ Assumes Paris Club flow rescheduling on Naples terms through August 1997, succeeded by a stock-of-debt operation.

Table 10. Senegal: External Debt and Scheduled Debt Service, 1996-99 1/
(In billions of CFA francs)

	End-1995 Debt out- standing	Of which: arrears	1996			1997			1998			1999		
			Prin.	Int.	Total	Prin.	Int.	Total	Prin.	Int.	Total	Prin.	Int.	Total
Public sector external debt	1,718.6	--	93.5	65.2	158.7	102.0	62.7	164.7	105.6	61.8	167.3	95.5	57.5	153.0
Debt outstanding as of end-1995	1,718.6	--	93.5	59.1	152.6	102.0	54.8	156.8	105.6	51.8	157.3	95.5	47.5	143.0
Medium- and long-term debt	1,691.9	--	93.5	52.3	145.8	102.0	48.8	150.8	105.6	46.8	152.5	95.5	43.8	139.3
Multilateral creditors	1,030.7	--	58.8	21.7	80.5	68.0	20.0	88.0	67.8	19.7	87.5	53.7	18.2	71.9
of which: IMF	(167.0)	--	(22.7)	(2.6)	(25.3)	(34.1)	(2.6)	(36.7)	(33.5)	(1.8)	(35.3)	(18.1)	(1.3)	(19.4)
Paris Club post-cutoff-date debt	130.8	--	4.5	2.8	7.3	5.5	2.7	8.2	7.1	2.3	9.4	7.7	2.2	9.9
Paris Club pre-cutoff-date debt	280.8	--	12.2	24.0	36.2	10.3	22.8	33.1	12.2	21.5	33.7	16.1	20.3	36.4
Pre-cutoff date debt not previously rescheduled	...	--	1.7	0.5	2.2	0.9	0.4	1.3	1.1	0.2	1.3	1.1	0.1	1.2
Previously rescheduled debt on nonconcessional terms	...	--	10.5	4.2	14.7	7.1	2.8	9.9	3.0	1.9	4.9	3.0	1.5	4.5
Previously rescheduled debt on concessional terms	...	--	--	19.2	19.2	2.2	19.6	21.8	8.1	19.5	27.6	12.0	18.7	30.7
Other official bilateral creditors	237.9	--	15.0	3.1	18.1	15.3	2.8	18.1	15.7	3.2	18.9	15.0	2.6	17.5
Private creditors 2/	11.7	--	3.0	0.7	3.7	2.9	0.5	3.4	2.8	0.3	3.1	3.0	0.4	3.4
Short-term debt 3/	26.7	--	--	6.8	6.8	--	6.0	6.0	--	4.9	4.9	--	3.7	3.7
Debt service on new financing 4/	--	--	--	6.0	6.0	--	7.6	7.6	--	9.6	9.6	--	9.6	9.6
Multilateral creditors	--	--	--	5.3	5.3	--	6.7	6.7	--	8.5	8.5	--	8.5	8.5
Paris Club creditors	--	--	--	0.7	0.7	--	0.9	0.9	--	1.1	1.1	--	1.1	1.1
Other official bilateral creditors	--	--	--	--	--	--	--	--	--	--	--	--	--	--
Private creditors	--	--	--	--	--	--	--	--	--	--	--	--	--	--
Debt service on gap financing 5/	--	--	--	0.1	0.1	--	0.3	0.3	--	0.4	0.4	--	0.4	0.4
Private sector external debt	...	...	...	...	...	...	...	...	...	...	...	...	...	...

Source: Data provided by the Senegalese authorities; and staff estimates and projections.

- 1/ Scheduled debt service is after ODA debt cancellation granted by France in 1994.
 2/ Not including arrears on commercial debt under consideration for debt buyback operation.
 3/ Includes the operations account.
 4/ Includes debt service on disbursements after January 1, 1996, excluding gap financing.
 5/ Includes debt service on expected exceptional financing.

Table 11. Senegal: Key Indicators of External Indebtedness, 1996-2000

	1996	1997	1998	1999	2000
<u>(In billions of CFA francs, unless otherwise specified)</u>					
Total debt service ^{1/}	158.7	164.7	167.3	153.0	161.3
Principal ^{1/}	93.5	102.0	105.6	95.5	100.1
Interest ^{1/}	65.2	62.7	61.8	57.5	61.2
Scheduled debt service on existing contracted debt	152.9	156.8	157.3	143.0	144.4
Principal	93.5	102.0	105.6	95.5	100.1
Medium- and long-term	93.5	102.0	105.6	95.5	100.1
Multilateral ^{2/}	58.8	68.0	67.8	53.7	47.3
Official bilateral	31.7	31.1	35.0	38.7	52.8
Paris Club	16.7	15.8	19.3	23.8	39.1
Post-cutoff-date	4.5	5.5	7.1	7.7	11.4
Pre-cutoff-date	12.2	10.3	12.2	16.1	27.7
Of which: not previously rescheduled	(1.7)	(0.9)	(1.1)	(1.1)	(1.2)
PRD on standard terms	(10.5)	(7.1)	(3.0)	(3.0)	(3.5)
PRD on Toronto terms	(--)	(2.2)	(6.8)	(9.3)	(20.7)
PRD on London/Naples terms	(--)	(--)	(1.3)	(2.7)	(2.3)
Other official	15.0	15.3	15.7	15.0	13.7
Commercial ^{3/}	3.0	2.9	2.8	3.0	--
Short-term	--	--	--	--	--
Interest	59.1	54.8	51.8	47.5	44.3
Medium- and long-term	52.3	48.8	46.8	43.8	41.2
Multilateral ^{2/}	21.7	20.0	19.7	18.2	15.0
Official bilateral	29.9	28.3	26.8	25.1	26.2
Paris Club	26.8	25.5	23.7	22.5	24.1
Post-cutoff-date	2.8	2.7	2.3	2.2	2.4
Pre-cutoff-date	24.0	22.8	21.5	20.3	21.7
Of which: not previously rescheduled	(0.5)	(0.4)	(0.2)	(0.1)	(0.3)
PRD on standard terms	(4.2)	(2.8)	(1.9)	(1.5)	(2.0)
PRD on Toronto terms	(14.9)	(14.8)	(11.2)	(10.4)	(14.5)
PRD on London/Naples terms	(4.3)	(4.8)	(8.3)	(8.3)	(4.9)
Other official	3.1	2.8	3.2	2.6	2.1
Commercial ^{3/}	0.7	0.5	0.3	0.4	--
Short-term (including operations account)	6.8	6.0	4.9	3.7	3.1
Debt service on new borrowing	6.1	7.9	10.0	10.0	16.9
Principal	--	--	--	--	--
Interest	6.1	7.9	10.0	10.0	16.9
<u>Memorandum items:</u>					
Total debt service	158.7	164.7	167.3	153.0	161.3
In percent of exports of goods, nonfactor services, and private transfers (XGNFST)	18.0	17.6	16.9	14.5	14.4
Of which: multilateral debt	(9.1)	(9.4)	(8.8)	(6.8)	(5.6)
In percent of government total revenue	39.4	37.4	35.0	29.2	28.0
Of which: multilateral debt	(20.0)	(20.0)	(18.3)	(13.7)	(10.8)
Total debt service after debt restructuring ^{4/}	129.4	154.8	164.4	150.3	161.3
<u>(In millions of U.S. dollars, unless otherwise specified)</u>					
Total debt stock	3,527.7	3,474.7	3,397.2	3,341.8	3,279.6
In percent of GDP	68.3	63.4	58.3	54.2	50.3
Of which: multilateral debt	(43.6)	(40.9)	(37.8)	(35.4)	(33.2)
In percent of XGNFST	202.2	189.4	176.3	164.4	152.8
Total debt stock (NPV)	2,230.1	2,199.3	2,169.0	2,038.2	2,092.4
In percent of GDP	43.2	40.1	37.2	33.1	32.1
In percent of XGNFST	127.8	119.9	112.6	100.3	97.5

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

^{1/} Does not include principal and interest on debt canceled by France in 1994.

^{2/} Including IMF.

^{3/} Excludes private nonguaranteed debt covered by Paris Club.

^{4/} Debt relief includes the impact of the Paris Club agreements concluded in March 1994 and April 1995, the latter covering the period through August 1997; debt relief provided by other bilateral creditors; and scheduled payments expected to be covered by a commercial debt buy-back operation that is being finalized.

Table 12. Senegal: Indicators of Fund Credit and Debt Servicing, 1995-2007

(In percent)

	1995	1996	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007
Outstanding Fund credit/Quota <u>1/</u>	196.2	205.5	182.1	144.7	124.7	110.3	90.6	70.1	48.1	26.1	9.5	1.5	--
Outstanding Fund credit/GDP <u>1/</u>	7.1	7.0	5.8	4.4	3.6	3.0	2.3	1.7	1.1	0.6	0.2	--	--
Outstanding Fund credit <u>2/</u>	20.9	20.7	17.5	13.2	10.8	9.1	7.1	5.2	3.4	1.8	0.6	0.1	--
Gross Fund financing/Financing needs <u>3/</u>	23.3	20.0	11.6	--	--	--	--	--	--	--	--	--	--
Debt service to the Fund <u>2/</u>	2.8	2.9	3.9	3.6	1.9	1.3	1.6	1.6	1.6	1.5	1.1	0.5	0.1
Debt service to the Fund/Total debt service <u>4/</u>	14.6	16.1	22.4	21.4	12.9	9.0	12.3	12.8	13.9	14.0	11.3	5.7	1.6
Total debt service ratio before rescheduling <u>2/ 4/</u>	18.8	18.0	17.6	16.9	14.5	14.4	13.4	12.6	11.7	11.1	9.9	8.5	7.5
Debt rescheduling <u>2/</u>	8.1	3.3	1.1	0.3	0.3	--	--	--	--	--	--	--	--
Total debt service ratio after rescheduling <u>2/ 4/</u>	10.7	14.7	16.5	16.6	14.3	14.4	13.4	12.6	11.7	11.1	9.9	8.5	7.5
<u>Memorandum items:</u>													
Exports of goods, nonfactor services, and gross private transfers (in millions of SDRs)	1,091.6	1,189.8	1,252.0	1,313.4	1,384.5	1,459.3	1,526.7	1,603.6	1,681.0	1,765.0	1,855.1	1,950.0	2,050.1

Sources: IMF, Treasurer's Department; data provided by the Senegalese authorities; and staff estimates and projections.

1/ Outstanding Fund credit includes SAF/ESAF loans and outstanding purchases.2/ In percent of exports of goods, nonfactor services, and gross private transfers.3/ Financing needs are defined to include current account deficit, amortization due, repurchases and repayments to the Fund, planned improvements in reserves, and reduction in external arrears.4/ Total debt service is after ODA debt cancellation granted by France in 1994.

Table 13. Senegal: Selected Social and Demographic Indicators

<u>Area</u>	<u>Gross domestic product</u>	
Total 196,720 sq. km.	Per capita (1995)	US\$580
Agricultural 28.3 percent of total		
<u>Population (1995)</u>	<u>Population density</u>	
8.4 million	137 per sq. km. of agricultural land	
Rate of growth: 2.8 percent per annum		
<u>Population characteristics</u>	<u>Health</u>	
Crude birth rate (per thousand)	Population per physician (in thousands)	17.51
Crude death rate (per thousand)	Population per hospital bed (in thousands)	1.37
Life expectancy at birth (years)	Infant mortality rate (per thousand live births)	66.8
Urban population (percent of total)		
<u>Access to safe water</u>		
In percent of population		
Total		53
Urban		79
Rural		38
<u>Nutrition</u>	<u>Education</u>	
Per capita supply of	Enrollment rates (in percent)	
Calories (per day)	Primary	56
Proteins (grams per day)	Secondary	16
	Pupil-teacher ratio	
	Primary	59
	Secondary	34

Sources: Social Indicators of Development, 1995 (World Bank); Senegal - An Assessment of Living Conditions, World Bank, Report No. 12517-SE, May 1995; and staff estimates.

Dakar, May 15, 1996

Mr. Michel Camdessus
Managing Director
International Monetary Fund
Washington, D.C. 20431

Dear Mr. Camdessus:

1. The Executive Board of the International Monetary Fund approved on December 11, 1995 the second annual arrangement under the enhanced structural adjustment facility (ESAF) for Senegal. This arrangement was in support of Senegal's economic and financial adjustment program covering the period 1995-96. In accordance with that arrangement, we held discussions with an IMF mission regarding the midterm review of the program. The discussions focused primarily on the progress made under the program during the second half of 1995 and the first quarter of 1996, as well as on the prospects and measures envisaged for the remainder of 1996, in accordance with the medium-term objectives set forth in the economic and financial policy framework paper (PFP) and the memorandum on economic and financial policies for 1995-96, both dated October 12, 1995. We reached understandings on the economic and financial policies to be implemented in order to meet the economic objectives for 1996.

2. Progress made in 1995 and recent developments. The 1995-96 program was formulated within the framework of the comprehensive medium-term adjustment strategy adopted in early 1994, which included the devaluation of the CFA franc. This strategy aims at achieving sustained economic growth and financial viability over the medium-term, based on the pursuit of sound fiscal and monetary policies and the acceleration of structural reforms. The main macroeconomic objectives for 1995-96 were to achieve an annual growth rate of real GDP of 4.5 percent; to lower the inflation rate, as measured by changes in the GDP deflator, to about 8 percent in 1995 and to less than 3 percent in 1996; and to reduce the external current account deficit, excluding official transfers, to 8 percent of GDP in 1995 and 7.3 percent in 1996.

3. The results in 1995 were generally encouraging, and the macroeconomic objectives were achieved. Real GDP growth increased from 2 percent in 1994 to 4.8 percent in 1995, slightly above the program target, reflecting notably the expansion of export-oriented activities which continued to benefit from the improved competitiveness of the economy. Inflation, as measured by the change in the GDP deflator, was lowered from 33.2 percent in

1994 to 7.6 percent in 1995, while the average increase in the consumer price index (CPI) for Dakar was reduced from 32 percent to 8 percent, in line with program objectives. In April 1996, inflation further declined to 3 percent on an annual basis. In the external sector, exports continued to respond favorably to the devaluation, particularly those of groundnut products, fisheries, and chemicals. Total export volume thus increased by 7.5 percent in 1995. Imports picked up in 1995, but at a modest pace, increasing by only 3 percent in volume terms. As a result, the current account deficit, excluding official transfers, narrowed from 9.3 percent of GDP in 1994 to 8 percent in 1995, as targeted. Total external budgetary assistance, together with debt relief, slightly exceeded projections and contributed to a further improvement in Senegal's contribution to the net foreign assets position of the Central Bank of the West African States (BCEAO).

4. As indicated in the attached table, the structural and quantitative benchmarks for end-December 1995 were observed, except for the benchmark on government revenue, owing to a shortfall in non-tax receipts related to privatizations. All external and domestic payments arrears were eliminated before end-1995 as programmed. The performance criteria and structural and quantitative benchmarks for end-March 1996 were met. Government revenue exceeded the program benchmark for the first quarter of 1996.

5. In the fiscal area, the Government continued its efforts during 1995 to improve revenue performance durably and contain spending. As a result, the overall fiscal deficit (on a commitment basis and excluding grants) was reduced from 5.7 percent of GDP in 1994 to 3.2 percent, slightly below the program objective. A restrained expenditure stance continued to prevail. No general wage increase was granted and the wage bill, including the rappels spéciaux, was kept within the program benchmark. Measures were also taken to correct a number of current spending overruns that occurred during the first half of 1995, in particular those related to the social safety net (higher-than-anticipated wheat flour subsidy), unanticipated transfers to the price stabilization fund (Caisse de péréquation et de stabilisation des prix-CPSP), and to appropriations for diplomatic posts abroad. The subsidy on wheat flour was eliminated and its price liberalized, the CPSP was liquidated, six embassies were closed, and the number of diplomats stationed abroad was reduced. The deficit of the national retirement fund (FNR) slightly exceeded the programmed level. The Government, however, took both cost-saving and revenue-enhancing measures to restore the FNR's financial equilibrium. A law, adopted in December 1995, increased the employer's contribution to the FNR by 5 percentage points (to 20 percent) and the employee's contribution by 3 percentage points (to 15 percent). Investment spending was in line with projections. Overall, total expenditure and net lending were slightly lower than programmed for 1995.

6. Reflecting the continued reinforcement of the tax and customs administrations, as well as the pick-up in economic activity and imports, tax revenue increased by 23 percent and was CFAF 5 billion above the program target for 1995. Non-tax revenue, however, fell CFAF 10 billion short of target, owing notably to delays in the privatization of the Méridien Hotel.

Overall, government revenues were about CFAF 5 billion lower than programmed. With continued improvements in revenue performance in the first quarter of 1996, total receipts exceeded the program benchmark for March, although nontax revenue continued to suffer from delays in the settlement of payments between the power company (SENELEC), the petroleum companies, the Société africaine de raffinage (SAR), and the State.

7. In the monetary area, the applicable benchmarks and performance criteria for end-December 1995 and end-March 1996, with respect to changes in net credit to the Government and net domestic assets of the BCEAO, were met. Net credit to the Government declined in 1995 and in the first quarter of 1996, as a result of the improvement in the Government's financial position. To strengthen the situation of the agricultural credit bank (CNCAS), the Government assumed some CFAF 8.3 billion in non-performing loans. Taking this operation into account, credit to the economy increased moderately but remained well below projections, reflecting the ample liquidity position of exporting enterprises, the almost full repayment of crop credit, and the settlement of domestic payments arrears by the Government. Broad money growth decelerated to 7.6 percent in 1995, reflecting a stronger adjustment of cash balances to declining inflation than projected. Senegal's contribution to the net foreign assets of the BCEAO improved further by CFAF 42 billion. As inflation abated, the BCEAO further reduced the discount rate from 8.5 percent to 7.5 percent in December 1995. Commercial banks lending rates have started to decline, with the maximum rate brought down to 15 percent and that for prime customers to about 10 percent.

8. Most structural measures included in the program for 1995 and the first quarter of 1996 were implemented. Concerning the regulatory framework, imports and prices of wheat flour were liberalized on November 7, 1995, as scheduled. To encourage export activities and foreign investment, the Government replaced in December 1995 the regulations governing export processing zones and points francs by a new regime for the entreprises franchises d'exportation. Simplified procedures for the temporary imports of inputs entering the production of goods to be exported (régimes douaniers suspensifs) were also enacted before end-1995. Civil service reform efforts continued, and the audit of the civil service was completed in July 1995. In the agricultural sector, the groundnut marketing company (SONACOS) was offered for sale in November 1995, but the bids received so far have been unsatisfactory and far from reflecting the real value of the company. The rice sector was entirely liberalized and the CPSP was liquidated in December 1995, ahead of schedule.

9. In the area of public enterprise reform, the privatization of the national water company (SONEES) was carried out in December 1995; the company was replaced by the Sénégalaise des Eaux (SDE), a joint private consortium in charge of the production and distribution of water, and the Société Nationale des Eaux du Sénégal (SONES), an entity in charge of asset management. The Société industrielle d'assainissement du Sénégal (SIAS) and the Société hôtelière-Saly have both been liquidated. All small hotel entities (16) belonging to the State were put up for sale, and six of them

were sold. In preparation for the partial privatization of the telecommunications company (SONATEL), a new regulatory framework for the sector was adopted by the Government in December 1995. In the energy sector, SENELEC has been allowed to purchase its fuel on the international market. There were delays, however, in the completion of the privatization of the Méridien Hotel and the Société sénégalaise des phosphates de Thiès (SSPT), as the bids received were not adequate. Finally, most agreements were signed between the Government and public enterprises to eliminate the cross-debts of the public sector.

10. Program for 1996. The Government is determined to consolidate the progress achieved in 1995 and continue rigorous implementation of the macroeconomic and structural reforms described in the memorandum of economic and financial policies and the PFP of October 1995, while taking all necessary measures to achieve the medium-term objectives set out in these documents. The macroeconomic objectives for 1996 remain the same as those stipulated in the memorandum of October 12, 1995, namely to achieve a growth rate of real GDP of at least 4.5 percent, taking into account in particular the rebound in agricultural production, to lower average inflation (as measured by the change in the GDP deflator) to less than 3 percent, and to reduce the external current account deficit (excluding official transfers) to 7.3 percent of GDP. The expansion of exports and tourism should continue in 1996, reflecting the improvement of competitiveness. Imports would increase only moderately, with a stronger rise for imports of capital goods than for consumption goods, which continue to be substituted by domestically-produced goods. On the basis of commitments of external assistance and debt relief already obtained, Senegal's contribution to the net foreign assets position of the BCEAO should improve further.

11. The strengthening of the fiscal position will continue to be a key element of the adjustment program. The 1996 budget, approved by the National Assembly in December 1995, aims at reducing the overall fiscal deficit (on a commitment basis and excluding grants) to about 2 percent of GDP in 1996. The efforts made in 1995 to improve tax collection will be pursued in 1996 in order to consolidate this improvement on a durable basis. Total government revenues should increase by 10 percent in 1996, to CFAF 402.5 billion. In early 1996, the Government adopted a number of measures to strengthen the tax yield. The value-added tax (VAT) was extended to all importers and manufacturers' clients and will be applied to a base that includes excise taxes. A 5 percent withholding tax replaced the equalization tax, thereby securing a minimum tax collection from the informal sector. In addition, the authorities will accelerate the implementation of the single taxpayer registration system for enterprises, which should result in more accurate taxpayers files and a systematic control of tax returns. Efforts will also continue at customs, with the strengthening of the unit in charge of customs investigations, the improvement of the computerized information system (GAINDE), the reinforcement of the import verification program, and the enforcement of tighter customs control of all bonded warehousing. In addition, exemptions will continue to be strictly controlled. These efforts will take into

account the specific measures recommended by the recent Fund technical assistance mission aimed at strengthening tax and customs administrations.

12. Concerning expenditures, the objective is to maintain their level within the limit initially set for 1996. Total government expenditure, therefore, will increase by only 2.5 percent, to CFAF 456 billion, in 1996. The wage bill will not exceed CFAF 162.5 billion, as envisaged by the program; any temporary supplementary indemnity (not to exceed CFAF 2 billion) to be granted to soldiers on active duty will be fully compensated for by savings on other non-priority outlays. No general wage increase will be granted and recruitment will be limited essentially to the priority areas of health and education; in this context, the number of civil servants will not exceed its level of end-1995 (67,100). The measures recommended by the 1995 audit of the civil service are being put in place. These measures include in particular: ensuring consistency between the payroll files of the Direction de la solde, the civil services registry, and the staffing plans of the different ministries; updating the files concerning the payments of allowances and social benefits; and preparing and implementing a system to improve management tools. In addition, the replacement of the system of automatic salary adjustments by one based on merit, which has not yet been approved by the National Assembly, is to be submitted for its consideration at the October 1996 legislative session. Spending planned for the social safety net (CFAF 10 billion), allocated primarily to the education and health sectors, will be integrated in the Government's social programs and targeted more effectively. The increase in the contribution rates for the national retirement fund, effective January 1996, is expected to help eliminate the financial imbalances of the fund. The program foresees that capital expenditures will increase by 8.5 percent (to CFAF 127.6 billion) in 1996, giving priority to infrastructure and high-yielding projects, particularly in the agriculture sector. ^{1/} Before end-December 1996, a three-year public investment program for 1997-99 will be adopted, in consultation with the World Bank.

13. A study on the expenditure system and control was prepared in March 1996, but it was not carried out to the satisfaction of the authorities. The Government is committed, however, to adhering strictly to the rules for executing and controlling spending, and will ensure that no extrabudgetary spending takes place. The authorities are convinced that there are no domestic payments arrears other than those already verified and settled at end-1995. Nevertheless, an audit on extrabudgetary payments arrears or any other arrears will be carried out before end-1996.

^{1/} Senegal has just obtained unanticipated external assistance amounting to US\$130 million, of which US\$80 million is available in the second half of 1996 for project financing. For 1996, about CFAF 10 billion will be used within the overall investment budget appropriations (indicated above), and the balance will be deposited in the banking system, thereby reducing the Government indebtedness to the banking system. Projects to be financed from these resources beginning in 1997 will be included in the next investment budget, taking into account the required criteria on rates of return.

14. Monetary policy is conducted at the regional level by the BCEAO. In this context, a prudent credit policy will be pursued in 1996, in line with the balance of payments objective. The improvement in the fiscal position should enable the Government to reduce further its indebtedness vis-à-vis the banking system and make room for an adequate provision of credit to the private sector; credit to the economy is expected to increase by 12.5 percent in 1996. The net domestic assets of the BCEAO (excluding the stock of securities issued in July 1994) would decline by about 4 percent of beginning-of-period money stock. The rate of growth of broad money is expected to be in the order of 11 percent. In light of the above, the net foreign assets of the banking system should further improve in 1996.

15. The monetary authorities are to accelerate their efforts to strengthen the use of indirect instruments of monetary policy at the level of the West African Economic and Monetary Union (WAEMU), including in particular the pursuit of a flexible interest rate policy, the use of reserve requirement ratios, and the strengthening of the role of the money and interbank markets. In addition, the authorities of the BCEAO will strive to put in place a regional financial market and a true open-market policy. With the aim of improving the efficiency of financial intermediation, the ongoing efforts to strengthen the banking system and to develop savings and loans institutions will be pursued. The prudential ratios set by the regional banking commission, in particular, will continue to be respected. Finally, the restructuring of the CNCAS and the Banque Sénégal-Tunisienne (BST) is to be continued, and audits of their financial situation will be carried out before end-1996.

16. Concerning structural policies, the Government will carry out the measures envisaged in the memorandum of economic and financial policies and the PFP of October 1995. It will pursue its effort to provide a more enabling environment for private sector activity. In this regard, the Government will ensure that the recent reforms in the regulatory framework will be implemented effectively. It will also intensify its efforts to modernize the legal framework in areas that immediately affect business operations, in the context of the ongoing regional harmonization of business law. In the agricultural sector, the sale of SONACOS will proceed with a more active marketing campaign. The restructuring of the cotton marketing agency (SODEFITEX) will also be pursued. Producer prices for cotton will continue to be determined freely in the context of the performance contract between SODEFITEX, the producers, and the Government, taking into account cotton export prices. The price of ginned cotton sold to the local industry is to be freely negotiated between SODEFITEX and its clients.

17. The Government adopted in March 1996, a statement of development policy for the telecommunications sector, announcing the liberalization of a number of areas and the opening up of two-thirds of SONATEL's capital to the private sector. In the energy sector, the Government has recently defined the broad outline of an in-depth reform, including notably the modification of the institutional framework to encourage private investment in electricity production, the privatization of SENELEC, and the abolition of the convention spéciale granting special privileges to the Société africaine

de raffinage (SAR). Special attention is to be given to the institutional arrangements to be put in place to revitalize rural electrification and the domestic energy sector. On the basis of this outline, a detailed action plan, including a timetable of implementation, will be prepared by end-July 1996 in consultation with the World Bank and other donors. In addition, the payments between SENELEC, the petroleum companies, the SAR, and the State, will be settled on a timely basis to prevent the reappearance of arrears.

18. In the area of public enterprise reform, the Government will accelerate the privatization of Société sénégalaise des phosphates de Thiès (SSPT), and Société propriétaire de l'Hôtel de l'Union Teranga (SPHU-Teranga), as well as the sale of the Méridien hotel. In addition, the recommendations of a recently adopted action plan will be implemented. The plan provides for the privatization of ten other enterprises and the liquidation of two companies by end-1997. Transfers and subsidies to state-owned enterprises will be limited to the amounts provided in the budget. National companies will continue to operate without any direct or indirect subsidies from the Government, in particular the new company La Poste. The authorities have already started updating information on the public enterprise sector, and, as agreed, beginning in June 1996, they will report comprehensive data on the financial operations of key enterprises on a periodic basis.

19. A prudent external debt management policy will be pursued. In this context, the Government will neither contract nor guarantee any new external nonconcessional loans (with a grant element of less than 35 percent), including loans with maturities of less than 1 year, with the exception of normal short-term import-related credits and loans associated with debt rescheduling or refinancing agreements. The overall borrowing limit for loans with an initial maturity of one year and over will be adjusted upward by up to CFAF 5 billion by end-1996 for possible loans that may be contracted by the Government from the West African Development Bank (BOAD). Debt service obligations after rescheduling should therefore remain sustainable in the medium and long-term.

20. The Government of Senegal will continue to participate actively in all the initiatives aimed at promoting regional integration and trade within the WAEMU. The recent Heads of State meeting of the WAEMU has reiterated these objectives and the decision to put in place, starting July 1996, a preferential tariff for intra-community trade. The efforts towards the harmonization of domestic taxation and custom tariff at the Union level are continuing. In addition, Senegal has accepted, effective June 1, 1996, the obligations of Article VIII, Sections 2, 3, and 4 of the IMF Articles of Agreement, in concert with its partners of the WAEMU. Finally, efforts are being made to improve the statistical base of Senegal.

21. The Government of Senegal believes that the policies and measures set forth in this memorandum, which supplements the memorandum of October 12, 1995, are adequate to achieve the program objectives for 1996. It will take any additional measures that may become necessary to achieve these objectives.

Sincerely yours,

/s/

Papa Ousmane Sakho
Minister of Economy, Finance, and Planning

Table I. Senegal: Quantitative and Structural Performance Criteria and Benchmarks Under the Second Annual Arrangement Under the Enhanced Structural Adjustment Facility, July 1995-June 1996

	Amount at end-Dec. 1994 Actual	Change from Jan. 1, 1995 to end-1995				Change from Jan. 1, 1996 to end-1996					
		September		December		March		June			
		Est.	Act.	Prog.	Adj.	Prog.	Adj.	Prog.	Adj.		
		(In billions of CFA francs)									
A. Financial performance criteria											
1. Credit to the Central Government (net) 1/ 2/	358.1	-21.4	-13.3	-19.5	-3.2	-3.7	-14.2	2.3	-1.3	-13.4	--
2. Net domestic assets of the Central Bank (BCAO) 1/ 3/	263.5	-10.6	2.9	-7.7	20.1	19.6	-12.2	2.3	-1.3	-1.8	9.0
3. Payments arrears of the Central Government and public entities Domestic External	14.9 45.5	-10.1 -19.7	-10.1 -30.0	-10.2 -20.6	-14.9 -45.5	-14.9 -45.5	-14.9 -45.5	--	--	--	--
4. New external borrowing contracted or guaranteed by the Central Government on nonconcessional terms One year or over 4/ Short-term (less than 1 year) 5/	-- --	-- --	-- --	-- --	-- --	-- --	-- --	--	--	--	--
B. Financial benchmarks											
1. Total government revenue (cumulative)	301.5	183.6	267.6	265.2	371.4	371.4	366.2	89.3	89.3	94.8	194.6
2. Wage bill (cumulative)	148.8	78.2	117.0	117.1	157.5	157.5	157.5	41.6	41.6	41.7	82.3
C. Structural performance criteria											
1. Adoption of a 1996 budget compatible with the program objectives				End-December 1995				Observed			
2. Full withdrawal of the CPSP from the purchasing and marketing of local and imported rice, and its liquidation				End-February 1996				Observed			
D. Structural benchmarks											
1. Liberalization of imports and prices of wheat flour				End-November 1995				Observed			
2. Adoption of a three-year public investment program for the period 1996-98				End-December 1995				Observed			
3. Offer for sale of SONACOS to the private sector				End-December 1995				Observed			
4. Implementation of the necessary measures to balance the financial operations of the FNR				End-December 1995				Observed			
5. Preparation and periodic communication of data on the public enterprises				End-June 1996				In Progress			

Source: Memorandum on Economic and Financial Policies for 1995/96.

- 1/ The program envisages that external budgetary assistance, including grants and debt rescheduling but excluding project aid, will amount, on a cumulative basis from January 1, 1995 to CFAP 150.6 billion at end-September 1995, and CFAP 150.1 billion at end-December 1995, and on a cumulative basis from January 1, 1996, to CFAP 15.2 billion at end-March 1996, and CFAP 33.2 billion at end-June 1996. The ceilings will be adjusted downward by the amount of external budgetary assistance in excess of that programmed. In the event of a shortfall in external budgetary assistance, as defined above, the ceilings will be adjusted upward by the amount of the shortfall up to a limit of CFAP 20 billion in 1995, and CFAP 10 billion in the first half of 1996.
- 2/ Excluding changes in the amount of securities issued against the consolidated public debt and held outside the banking system.
- 3/ Excluding the amount of securities issued against the consolidated public debt held by the BCEAO.
- 4/ Nonconcessional loans contracted or guaranteed by the Central Government with initial maturity of one year and over, excluding debt relief obtained in the form of rescheduling or refinancing.
- 5/ Short-term external debt contracted or guaranteed by the Central Government, with the exception of normal import-related credits and loans associated with debt relief operations.
- 6/ Ceilings adjusted in accordance with the provisions under the program, reflecting disbursements of external budgetary assistance of CFAP 150.6 billion at end-December 1995, and CFAP 18.8 billion at end-March 1996.

Senegal - Relations with the Fund

(As of April 30, 1996)

I. Membership Status: Joined August 31, 1962; Article XIV

II. <u>General Resources Account</u> :	<u>SDR million</u>	<u>Percent of quota</u>
Quota	118.90	100.0
Fund holdings of currency	148.61	125.0
Reserve position in the Fund	1.21	1.0

III. <u>SDR Department</u> :	<u>SDR million</u>	<u>Percent of allocation</u>
Net cumulative allocation	24.46	100.0
Holdings	2.36	9.7

IV. <u>Outstanding Purchases and Loans</u> :	<u>SDR million</u>	<u>Percent of quota</u>
Stand-by arrangements	30.91	26.0
SAF arrangements	11.06	9.3
ESAF arrangements	183.67	154.5

V. Financial Arrangements:

<u>Type</u>	<u>Approval date</u>	<u>Expiration date</u>	<u>Amount approved (SDR million)</u>	<u>Amount drawn (SDR million)</u>
ESAF	August 29, 1994	August 28, 1997	130.79	71.34
Stand-by	March 2, 1994	August 29, 1994	47.56	30.91
ESAF	November 21, 1988	June 2, 1992	144.67	144.67

VI. Projected Obligations to the Fund (SDR million; based on existing use of resources and present holdings of SDRs):

	<u>Overdue</u>	<u>Forthcoming</u>				
	<u>04/30/96</u>	<u>1996</u>	<u>1997</u>	<u>1998</u>	<u>1999</u>	<u>2000</u>
Principal	--	23.0	45.6	44.4	23.9	17.1
Charges/interest	--	2.6	2.9	2.2	1.4	1.3
Total	--	25.6	48.5	46.6	25.3	18.4

Senegal - Relations with the Fund (concluded)

(As of April 30, 1996)

VII. Exchange Rate Arrangement

Senegal is a member of the West African Monetary Union. The exchange system, common to all members of the Union, is free of restrictions on the making of payments and transfers for current international transactions. ^{1/} The Union's common currency, the CFA franc, had been pegged to the French franc at the rate of CFAF 1 = F 0.02. Effective January 12, 1994, the CFA franc was devalued and the new parity set at CFAF 1 = F 0.01. On April 30, 1996, the rate of the CFA franc in terms of the SDR was SDR 1 = CFAF 748.59.

VIII. Article IV Consultations

Senegal is on the standard 12-month Article IV consultation cycle. The 1995 Article IV consultation was completed by the Executive Board on June 9, 1995 (EBS/95/80 and SM/95/124).

IX. Technical Assistance

<u>Department</u>	<u>Type of Assistance</u>	<u>Time of Delivery</u>	<u>Purpose</u>
FAD	Staff/member of fiscal panel	March 1988	Budgeting and treasury accounting
FAD	Staff/two members of fiscal panel/ World Bank consultant	February 1989	Fiscal reform and taxation of petroleum products
FAD	Resident expert	November 1991- January 1994	Reform of customs administration
STA	Staff	July 1992	Compilation of balance of payments
FAD	Headquarters-based consultant	December 1993	Harmonization of indirect taxation in the WAMU.
FAD	Staff	November- December 1994	Advising on social safety net issues
FAD	Staff	February- March 1996	Strengthening of tax and customs administration

X. Resident Representative

Stationed in Dakar since July 24, 1984.

^{1/} The staff is keeping under active review all developments in Senegal's exchange system that may involve Fund jurisdiction.

Senegal - Relations with the World Bank Group

(As of April 30, 1996)

Commentary on lending operations

1. Bank assistance strategy in Senegal seeks: (i) rapid, sustainable and broad-based economic growth, through policy and regulatory reforms aimed at improving productivity and eliminating constraints to private sector development and employment generation; (ii) increased human resources development and increased access to social services; (iii) targeted actions to address the needs of the most vulnerable groups; and (iv) measures to reduce costs and supply rigidities in key sectors. The vehicles to support these objectives have been adjustment lending buttressed by appropriate technical assistance operations and sector-based rehabilitation/investment projects.

2. As of April 30, 1996, the World Bank Group had approved 109 operations in Senegal for a total amount committed, less cancellations, of US\$1,501.53 million, consisting of 77 IDA credits (including 3 special fund credits and two SFA), 20 Bank loans, and 12 IFC operations. Past projects supported agricultural diversification, irrigation, human resources development, institutional development, and expansion of the country's infrastructure, particularly its transport system. In recent years, emphasis has shifted to better utilization and maintenance of existing facilities, and on helping the government resolve some of the key issues related to long-term development prospects. Ongoing operations include agricultural services (research, extension, help to farmer organizations), agricultural sector adjustment, population/health, community nutrition, private sector capacity building, water, urban, and transport sector.

3. The World Bank Group plans to commit \$27.8 million in fiscal year 1996, including \$25.0 million for a higher education project. Proposed operations include lending in economic management, agricultural services, education and health, capacity building, institutional development, transport, and energy.

Senegal - Relations with the World Bank Group (concluded)
(As of April 30, 1996; in millions of U.S. dollars)

<u>Lending operations</u>	<u>IBRD and IDA 1/</u>		<u>IFC loans/equity and investment participations 2/</u>		<u>Grand total</u>
	<u>Total commitments</u>	<u>Of which: undisbursed</u>	<u>Total commitments</u>	<u>Of which: undisbursed</u>	
Twenty loans and sixty two credits fully disbursed	939.78	(0.03)	--	(--)	939.78
Structural adjustment and technical assistance	77.30	(35.75)	--	(--)	77.30
Agriculture, livestock, and forestry	51.70	(13.56)	8.43	(0.15)	60.13
Energy, industry, and tourism	133.00	(110.48)	48.12	(0.18)	181.12
Transport, equipment, and telecommunications	65.0	(40.25)	--	(--)	65.0
Urban development, education, and health	<u>178.20</u>	<u>(86.88)</u>	<u>--</u>	<u>(--)</u>	<u>178.20</u>
Total	1,444.98	(286.95)	56.55	(0.33)	1,501.53
Less: repaid or sold					200.06
Total outstanding					1,301.47
Held by IBRD					21.43
IDA					1,274.06
IFC					5.98

Memorandum items:

<u>Annual IBRD/IDA operations 3/</u>	<u>Commitments</u>	<u>Disbursements</u>	<u>Repayments</u>
1985	24.0	26.8	5.4
1986	116.4	78.3	9.9
1987	97.0	95.4	10.3
1988	129.6	138.9	10.8
1989	21.6	48.8	11.0
1990	185.0	93.1	11.6
1991	107.1	61.4	19.6
1992	43.7	100.8	13.1
1993	40.0	53.9	12.0
1994	25.0	61.0	15.0
1995	218.9	70.5	17.2
1996 4/	2.8	83.3	15.0

Source: World Bank Group.

1/ Excludes cancellations.

2/ IFC figures as of July 31, 1995; includes cancellations and terminations.

3/ During fiscal year ending June 30.

4/ To April 30, 1996.

Senegal - Statistical Issues

Overall, Senegal's economic data base is comprehensive, but there are weaknesses in the areas of the national accounts, the consumer price index (CPI), international trade, and the balance of payments. The authorities are continuing their efforts to improve the quality and availability of data. They are making appropriate arrangements to ensure that the legal provisions requiring economic agents to report statistical information on a timely basis are enforced.

1. Real sector

The national accounts data suffer from some deficiencies in their compilation. Finalized data are based on returns from more than 1,000 firms, a process that typically takes up to three years. For preliminary data, the accounts are based on a sample of 300 enterprises, and use an input-output model that was developed with French technical assistance. The CPI coverage is limited to Dakar, and is based on 1967 weights. Currently, the CPI compilation is being improved with technical assistance from INSEE/EUROSTAT. The results of a household budgetary survey undertaken in 1991/92 are currently being processed, and they will be used to update the CPI weights. Trade data are incomplete owing to the time taken by the customs directorate to report trade flows to the BCEAO, which may take up to three years.

2. Public finances

GFS data are compiled by the Ministry of Finance from the following three sources: the Customs, the Tax, and the Treasury directorates. GFS data have not been reported by the authorities to the Statistics Department for many years. The latest data reported for Senegal were published in the 1990 GFSY and covered consolidated central government through 1984. However, comprehensive fiscal data are provided regularly without delays to the African Department on a quarterly basis.

3. Monetary data

Monetary data for Senegal are prepared by the National Agency of the BCEAO. Outstanding data problems include the lengthy time period needed to finalize the data, and some inconsistencies between the balance sheets of the BCEAO and the commercial banks.

Monetary data still include assets and liabilities of banks that have long ceased banking operations, but whose liquidation has never been formally completed. Other statistical issues relate to the proper revaluation of the Compte d'Opération that the BCEAO maintains with the French Treasury, and other foreign currency denominated accounts, including Fund accounts. The reporting of monthly monetary data to the Fund is current.

A money and banking statistics course was held in Senegal in April 1995. BCEAO member countries have subsequently requested the Fund to organize additional training courses in money and banking statistics and in other statistical areas.

4. Balance of payments data

A technical assistance mission by the Statistics Department visited Dakar in 1992 and identified three shortcomings in balance of payments compilation procedures: (i) trade data were incomplete and reported with lengthy delays; (ii) bank settlements reports are not processed by the BCEAO; and (iii) surveys sent to companies were often inaccurately answered or unanswered. Efforts are being undertaken to address these issues. Enhancing the capacity of the computerized data compiling system of the customs should also help reduce delays in reporting.

Senegal: Core Statistical Indicators

(As of May 31, 1996)

	Exchange Rates	International Reserves	Central Bank Balance Sheet	Reserve/ Base money	Broad Money	Interest Rates	Consumer Price Index	Exports/ Imports	Current Account Balance	Overall Government Balance	GDP/GNP
Date of Latest Observation	Current	3/96	3/96	3/96	3/96	5/96	4/96	1995	1995	3/96	1995
Date Received	Current	5/96	5/96	5/96	5/96	5/96	5/96	5/96	5/96	5/96	5/96
Frequency of Data	Daily	Monthly	Monthly	Monthly	Monthly	Variable	Monthly	Quarterly	Annually	Quarterly	Annually
Frequency of Reporting	Monthly	Monthly	Monthly	Monthly	Monthly	Weekly	Monthly	Semi-Annually	Semi-Annually	Quarterly	Semi-Annually
Source of Update	EIS/TRE	BCEAO	BCEAO	BCEAO	BCEAO	BCEAO	Ministry of Finance	BCEAO	BCEAO	Ministry of Finance	Ministry of Finance
Mode of Reporting	On line	Staff	Staff	Staff	Staff	Staff	Staff	Staff	Staff	Staff	Staff
Confidentiality	No	1/	1/	1/	1/	No	No	1/	1/	1/	1/
Frequency of Publication	Monthly	Monthly	Monthly	Monthly	Monthly	Monthly	Monthly	Annually	Annually	Annually	Semi-Annually

1/ Preliminary data for staff use only; actual data unrestricted.

